Abu Dhabi Commercial Bank PJSC

Pillar 3 Report

31 December 2024

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1. Introduction and basis of preparation

1.1 Scope of Basel 3 Pillar 3 disclosures

The Basel Committee on Banking Supervision (BCBS) Basel 3 capital adequacy framework consists of three pillars. Pillar 1 provides a framework for measuring minimum capital requirements for credit, market and operational risks faced by banks. Pillar 2 allows banks and supervisors to take a view on whether the bank should hold additional capital to cover the three Pillar 1 risk types and/or to cover other risks. Pillar 3 requires banks to publish a range of disclosures, mainly covering risk, capital, leverage, liquidity and remuneration.

This report provides Pillar 3 disclosures for Abu Dhabi Commercial Bank PJSC and its subsidiaries together referred to as “ADCB” or the “Bank” or the “Group”.

ADCB is considered a Domestic Systemically Important Bank (D-SIB) under Central Bank laws/regulations and is required to comply with the Standards and Guidance re Capital Adequacy in the UAE – December 2022 as applicable to UAE D-SIBs on a consolidated basis. Capital and other regulatory information of the Bank as at 31 December 2024 are provided in our audited consolidated financial statements – https://www.adcb.com/en/multimedia/pdfs/2025/january/FinancialStatements-FY-2024.pdf

1.2 Significant Pillar 3 disclosure requirements and regulations

Capital adequacy, liquidity, funding and remuneration related disclosures in this Pillar 3 report have been prepared in accordance with the following regulations:

- Central Bank of UAE Pillar 3 disclosure requirements as stipulated in Standards and Guidance re Capital Adequacy in the UAE – December 2022 and Explanatory Notes on Pillar 3 disclosure requirements (May 2022),
- BCBS guidance Revised Pillar 3 disclosure requirements issued in January 2015,
- Frequently asked questions on the revised Pillar 3 disclosure requirements issued in August 2016,
- Pillar 3 disclosure requirements – consolidated and enhanced framework issued in March 2017 and
- Subsequent Technical Amendment – Pillar 3 disclosure requirements – regulatory treatment of accounting provisions issued in August 2018.

2. Overview of Basel 3 requirements

The Bank complies with the Basel 3 standards and guidance notes (December 2022) which have been implemented in the UAE.

Basel requirements are structured around three 'pillars' which are outlined below:

Pillar 1 - deals with maintenance of regulatory capital calculated for three major components of risk that a bank faces: credit risk, market risk and operational risk. Other risks are not considered fully quantifiable at this stage.

Pillar 2 - allows banks and supervisors to take a view on whether the bank should hold additional capital to cover the three Pillar 1 risk types and/or to cover other risks. Bank's own internal models and assessments support this process. The second pillar deals with the regulatory response to the first pillar giving regulators much-improved tools over those available to them under Pillar 1. It also provides a framework for dealing with all the other risks a bank may face such as systemic risk, concentration risk, strategic risk, reputational risk, liquidity risk and legal risk. These risk and capital assessments are commonly referred to as the Internal Capital Adequacy Assessment Process (ICAAP);

Pillar 3 - covers external communication of risk and capital information by banks as specified in the Basel rules. The aim of Pillar 3 is to provide a consistent and comprehensive disclosure framework by requiring institutions to disclose details on the scope of application, capital, risk exposures, risk assessment processes, capital adequacy, liquidity and funding position and leverage of the institution. It must be consistent with how the senior management including the Board assess and manage the risks of the institution.

This report should be read in conjunction with the risk disclosures in the audited consolidated financial statements.

Basel 3 also provides for different approaches to calculating capital requirements for credit risk exposures as follows:

Standardised approach — under this approach, the assets (including off-balance-sheet post-credit conversion factors) are classified into asset types to enable better risk sensitivity. The risk weights used to assess capital requirements against credit exposures are consistent across the industry.

Internal-ratings-based approach (IRB) — under this approach, the risk weights are derived from the bank's internal models. The IRB approach is further sub-divided into two alternative applications- Foundation and Advanced:

- **Foundation IRB (FIRB) —** Under this approach, banks are allowed to develop their own models to estimate the PD (probability of default) for individual counterparties or groups of counterparties and use supervisory values for LGD (loss given default) and EAD (exposure at default) estimates. Banks can use this approach only subject to approval from their local regulators.
- **Advanced IRB (AIRB) —** under this approach, banks are allowed to develop their own models to quantify required capital for credit risk. PD, LGD and EAD used for computing capital is determined using the bank's internal models. Banks can use this approach only subject to approval from their local regulators.

Revised Standardised Approach

The Central Bank of the United Arab Emirates ("CBUAE") has launched an initiative to update its Regulatory Capital Framework to be consistent with the most recent versions of Basel standards ("the Basel standards") and is assessing the potential impact on banks in the UAE of a transition to the Basel standards.

Further, the CBUAE has initiated a project in July 2024 to significantly amend the "Capital & Liquidity Regulatory Frameworks" through requests for information and quantitative impact studies (QIS).

2.1 ADCB's approach to Pillar 1

Credit risk - the Bank uses the standardised approach for calculating its capital requirements for credit risk. This approach allows the use of external ratings from designated credit-rating agencies wherever available in determining the appropriate risk weights. The risk weights are determined by the asset class and the external rating of the counterparty. The net exposure incorporates off-balance-sheet exposures after applying the credit conversion factors (CCF) and credit risk mitigation (CRM) factors.

Market risk - the Bank uses the standardised approach for calculating regulatory market risk capital requirements.

Operational risk - the Bank uses the standardised approach for computing capital requirements for operational risk.

2.2 Minimum capital requirement

To achieve broader macro-prudential goal of protecting the banking sector from periods of excess aggregate credit growth and in addition to the capital conservation buffer (CCB) requirement, banks are required to maintain the counter - cyclical buffer (CCyB). Banks must meet CCB and CCyB requirement by using Common Equity Tier 1 (CET1) capital.

The level of CCB requirement is set to 2.5% of risk weighted assets. Banks will also be subject to CCyB that varies between zero and 2.5% of total risk weighted assets and is currently at 0.09% for ADCB with respect to relevant credit exposures in jurisdictions attracting counter-cyclical buffer. CCyB buffer applicable to each bank will reflect the geographic composition of its portfolio of relevant credit exposures.

Further, to reduce risks related to the failure of D-SIBs, the Central Bank of UAE has introduced D-SIB buffer. ADCB has been listed as a D-SIB and is required to maintain a D-SIB buffer of 0.5%

Future developments

The Central Bank of UAE issued a notice CBUAE/FSD/2024/1265-Dec-2024 proposing to introduce a counter cyclical buffer (CCyB) of 0.50% on private sector credit exposures in UAE. The CCyB comes into force starting 1 January 2026. Banks have one year to phase in the buffer charge into their capital calculations. ADCB is sufficiently capitalized to meet the additional buffer requirement using its CET 1 capital base.

2.3 Leverage and liquidity ratios

Basel 3 introduced a 3% minimum leverage ratio and two liquidity ratios viz; Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR). LCR requires a bank to hold sufficient high quality liquid assets to cover its total net cash outflows over 30 days and NSFR requires the available amount of stable funding to exceed the required amount of stable funding over a one-year period of extended stress.

In May 2015, the Central Bank of UAE published "Regulations relating to Liquidity at Banks" circular number 33/2015 which is in effect till date. The regulations require banks to maintain LCR and NSFR of 100% at minimum. Further, CBUAE standards issued in December 2022 requires D-SIB banks to maintain minimum leverage ratio of 3.5%.

The methodology for estimating the liquidity coverage ratio (LCR) and Net Stable Funding Ratio (NSFR) is based on an interpretation of the Basel standards and includes a number of assumptions.

As at 31 December 2024, ADCB's leverage ratio was 8.75%, LCR was 137.34% and NSFR 108.20% which are well above the minimum requirement.

ADCB monitors its position against LCR, NSFR and leverage requirements to ensure the Bank's ability to comply with the standards.

2.4 Standards for Standalone Capital Adequacy Ratio

In November 2020, the Central Bank of UAE issued draft standards and guidance on standalone capital adequacy requirements following industry consultation. The Central Bank of UAE requires banks subject to standalone CAR to apply prudential requirements at the legal entity level on a solo basis. The Bank's legal entity standalone capital adequacy ratio requirements measure the capital adequacy of a bank based on its standalone capital strength and risk profile by focusing solely on the standalone assets and liabilities.

Further, the Central Bank of UAE has mandated reporting standalone capital adequacy ratio on a quarterly basis effective from 31 December 2023. The Bank and its banking subsidiaries meet the capital adequacy requirements on a standalone basis.

2.5 Revised Standards for Pillar 3 disclosures

Basel 3 standards and guidance notes (December 2022) which have been implemented in the UAE lay out the revised disclosure requirements. These revised requirements are an integral part of the Basel framework and they complement other disclosure requirements issued separately by the Central Bank of UAE. Pillar 3 Disclosure requirements apply to all banks in the UAE at consolidated level for local banks and all branches of foreign banks.

2.6 Impact on ADCB

The Central Bank of UAE has set a total capital adequacy ratio (CAR) of 13.50% and CET 1 ratio of 10% (including CCB – 2.5% and D-SIB buffers – 0.50%). Further, the Bank is also required to maintain counter-cyclical buffer (CCyB) based on its relevant credit exposures in jurisdictions where CCyB add-on rates are applicable. Currently, the CCyB buffer in the UAE is zero which will be increased to 0.50% effective 1 January 2026.

As at 31 December 2024, the CCyB requirement for the Bank was 0.09%. At the end of 2024, ADCB met the minimum requirements with a CAR of 16.13% and CET1 ratio of 12.56%.

ADCB monitors its position against the capital adequacy requirements to ensure the Bank's ability to comply with the regulatory guidelines.

2.7 Basis of consolidation

The Bank's Pillar 3 disclosures are presented on a consolidated basis incorporating all its subsidiaries and excluding commercial entities.

In accordance with 10.17 of DIS – Disclosure Requirements principles issued by BCBS effective from 1 January 2023, approaches to disclosure adopted by the Bank are sufficiently flexible to reflect how senior management and the Board of Directors internally assess and manage risks and strategy, helping users to better understand the Bank's risk tolerance/appetite.

Further, in accordance with paragraph 825 of International Convergence of Capital Measurement and Capital Standards issued by the BCBS in 2006, general disclosures of credit risk provided in this report have a wide range of information about overall credit exposure and may not be necessarily based on information prepared for regulatory purposes.

Certain disclosure notes/numbers have been reclassified and rearranged from the Group's prior period Pillar 3 report to conform to the current period's presentation.

2.8 Internal controls and verification

The key features of internal controls around Pillar 3 reporting are as follows:

- Segregation of duties – maker-checker process is strictly followed in compiling the Pillar 3 report;
- Data-sourcing and reconciliation – data is sourced from multiple systems which are reconciled with the general ledger, sub-ledgers and audited consolidated financial statements;
- Reviews – Pillar 3 report undergoes rigorous reviews by Finance and Risk functions;

- Internal audit – Internal auditors provide independent and objective assurance on disclosures in the Pillar 3 report and
- Attestation – Attestation is obtained from Board members that the Pillar 3 report has been prepared in accordance with the Board-agreed internal control processes.

The management and internal auditor of the Bank have appropriately reviewed Pillar 3 disclosures for the year ended 31 December 2024.

2.9 Ownership

Mubadala Investment Company holds 60.69% of the Bank's issued and fully paid-up share capital through its wholly owned subsidiaries. The Government of Abu Dhabi owns 100% of Mubadala Investment Company and so the ultimate controlling party is the Government of Abu Dhabi. ADCB enjoys strong Government support as evidenced by historical capital, liquidity and strategic support by the Government of Abu Dhabi.

2.10 Environmental, Social and Governance risk

Globally, regulators and standard setters continue to publish multiple proposals and discussion papers on environmental, social and governance ('ESG') topics. In recent years, this included multiple consultations on sustainability-related disclosure across jurisdictions and globally through the IFRS foundation and Basel.

The Basel Committee continues to pursue a holistic approach to address climate-related financial risks to the global banking system, which includes work across all three pillars of regulation, supervision and disclosure. The Committee published Principles for the effective management and supervision of climate-related financial risks (Principles) in June 2022 to improve banks' risk management practices as well as supervisory practices related to climate related financial risks. In December 2022, the Committee issued Frequently asked questions on climate related financial risks to clarify how climate-related financial risks may be captured in existing Pillar 1 standards.

In terms of the disclosure of climate-related financial risks, the Committee has been closely monitoring the development of global frameworks to improve the consistency, comparability and reliability of climate disclosures. It has also been coordinating with other international bodies and standard setters, including the International Sustainability Standards Board (ISSB), as it explores use of Pillar 3 of the Basel Framework to promote a common disclosure baseline for climate-related financial risks across internationally active banks. Disclosure requirements are a fundamental component of a sound banking system, as providing market participants with meaningful information, such as key risk metrics, reduces information asymmetry and promotes comparability of banks' risk profiles within and across jurisdictions

Climate risk framework

ADCB is a signatory to the 'UAE Climate-Responsible Companies Pledge' with the Ministry of Climate Change and Environment (MOCCAE), reaffirming its commitment to the UAE's Net Zero by 2050 Strategic Initiative and with the Paris Agreement to limit global warming to well below 2°C. The Bank further demonstrated its support for climate action, with a strategic decision to join the global Net Zero Banking Alliance (NZBA) in November.

To drive action towards net zero the Bank adopted a new climate framework in 2023, designed to drive emission reductions across its financing, operations and supply chain.

Aligning portfolios and reducing financed emissions

The development of ADCB's climate framework followed a rigorous assessment of the implications of decarbonization for the business and its customers. It involved a baseline assessment of scope 3 financed emissions in accordance with Partnership for Carbon Accounting Financials (PCAF) standards. This concluded that more than 80% of the Bank's financed emissions were related to the real estate, oil and gas, and aviation sectors. Going forward, these findings will help to develop a robust framework for further progress and set the groundwork for establishing the Bank's first wave of sector-based targets by May 2025.

Environmental and Social Risk Management (ESRM)

ADCB's Group Environmental and Social Risk Management (ESRM) Policy incorporates environmental and social considerations into our existing risk management framework and lending policies.

During 2024, the Bank carried out its first climate stress test and scenario analysis, and incorporated climate-related qualitative responses within its Internal Capital Adequacy Assessment Process (ICAAP) submission to the Central Bank of the UAE.

3. Summary of differences between Pillar 3 disclosures and risk review in the audited consolidated financial statements

The details included in this report on certain aspects of credit, market and operational risk are from a regulatory perspective. The quantitative disclosures will not be directly comparable with the audited consolidated financial statements, as the former are largely based on the Basel 3 approach rules whereas quantitative risk disclosures in the audited consolidated financial statements are based on International Financial Reporting Standards (IFRS). This is most pronounced for the credit risk disclosures, where credit exposure is defined as the maximum exposure at default the Bank has estimated under specified Basel 3 rules. This differs from similar information in the audited consolidated financial statements such as the off-balance-sheet exposures which are disclosed pre–credit conversion factors (CCFs).

Topic	Risk review in the audited annual consolidated financial statements	Pillar 3 disclosures
Basis of requirements	The Bank's audited consolidated financial statements are prepared in accordance with the requirements of IFRS and UAE Federal Law No. 2 of 2015.	The Bank's Pillar 3 disclosures provide detail on risk from a regulatory perspective as required by the Basel 3 standardised approach requirements in accordance with standards/guidelines issued by the Central Bank of UAE in December 2022. The capital supply is determined based on Basel 3 requirements, which have been implemented in the UAE through the Central Bank of UAE guidelines issued in February 2017 and standards/guidance issued by the Central Bank of UAE in December 2022.
Basis of preparation	The quantitative credit risk disclosures in the credit risk management section are set out based on IFRS. Loans and advances are analyzed net of impairment, interest in suspense and off-balance-sheet exposures are considered at maximum exposure levels. Market risk disclosures are presented using VaR methodology and sensitivity analysis for the trading and non-trading books.	Provides details from a regulatory perspective on credit, market and operational risk. The capital ratio calculations and the disclosures are based on the standardised approach as recommended by the Central Bank of UAE. Loans and advances are analyzed at gross levels and off-balance-sheet exposures are disclosed at post-CCF levels. Market risk and operational risk disclosures are based on the capital required calculated based on standards/guidance issued by the Central Bank of UAE in December 2022.

4. Summary of cross-references between Pillar 3 disclosures and risk review in the audited consolidated financial statements

Topic	Risk review in the audited consolidated financial statements	Pillar 3 disclosures
Credit, liquidity and market risk management and measurement and risk-grading	An overview of credit, liquidity and market risk management and measurement along with the quantitative disclosures are set out in Notes 43, 45 and 46 to the audited consolidated financial statements respectively. Maximum exposure to credit risk and credit risk concentration are provided in Notes 43.1 and 43.4 to the audited consolidated financial statements. Internal credit risk grading analysis provided by business for loans neither past due nor impaired and investment securities (bonds) is provided in Note 43.3 to the audited consolidated financial statements. Note 50 to the audited consolidated financial statements provides the overall capital adequacy of the Bank split into Tier 1 and Tier 2 ratios.	A detailed analysis of credit risk exposures and risk-weighted assets (RWAs) calculated according to the standardised approach is set out in sections 10 and 13 of this report. Liquidity ratios and market risk capital requirements are disclosed in section 12 and 15 of this report. A more detailed analysis of credit risk exposure pre- and post-credit risk mitigants (CRMs) and after applying credit conversion factors (CCFs) to the off-balance-sheet exposure is disclosed in sections 13.6 of this report. Section 13.7 of this report provides an indicative mapping of the Bank's rated and unrated exposures. Minimum regulatory capital requirements for credit, market and operational risk are set out in sections 10, 15 and 19 of this report.
Credit risk mitigation (CRM)	An overview of CRM is provided in Note 43.5 to the audited consolidated financial statements.	Section 13.9 of this report provide an overview of CRM.
Concentration of credit risk	Disclosures on concentration of credit risk by geography, economic and industry sector are provided in Note 43.4 to the audited consolidated financial statements.	Disclosures on concentration of credit risk by currency, geography, residual maturity and economic sector calculated based on the Basel rules are provided in section 13 of this report.
Credit risk management and impairment allowance	Provisioning approach and financial assets by stages with expected credit loss are set out in Note 43.3 to the audited consolidated financial statements.	Disclosures of impaired loans, impairment balance and interest in suspense by geography and economic sector are set out in section 13.4.2 of this report. Qualitative and quantitative disclosures are disclosed in Note 43 to the audited consolidated financial statements which are in line with Pillar 3 quantitative guidelines.
Market risk	A description of market risk management and measurement, along with quantitative disclosures on VaR and interest rate sensitivity analysis, is set out in Note 46 to the audited consolidated financial statements.	Section 15 of this report provide quantitative disclosures of capital requirements for market risk.

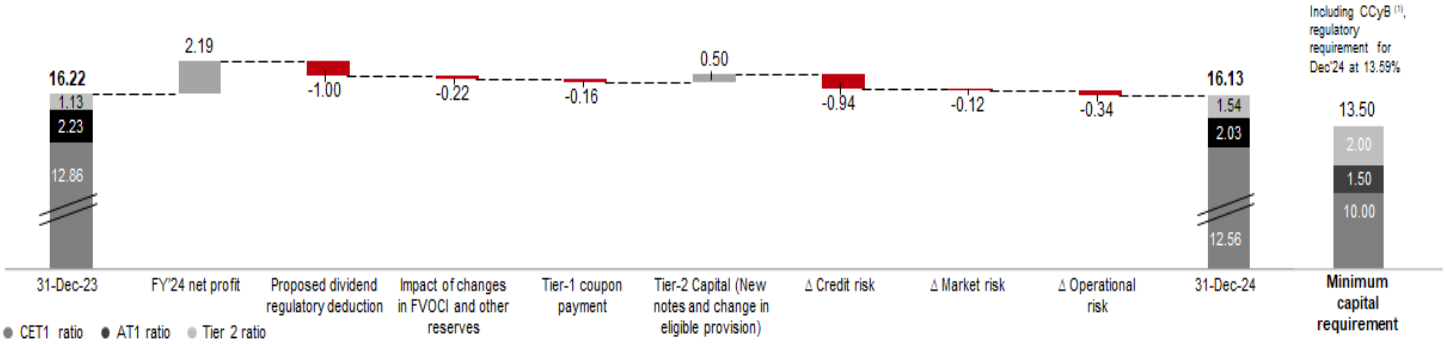
Liquidity risk	A description on liquidity risk framework, measurement and monitoring is set out in Note 45 to the audited consolidated financial statements.	Qualitative and quantitative disclosures in the format required by Pillar 3 guidelines is set out in section 12 of this report.
Operational risk	Description of operational risk management is set out in Note 47 to the audited consolidated financial statements.	A description of operational risk faced by the Bank is set out in section 19 of this report.
Key management compensation	Disclosures on remuneration to executive management/key management personnel are set out in annual report corporate governance section and Note 37 to the audited consolidated financial statements.	Quantitative disclosure in the format required by Pillar 3 guidelines is set out in section 20 of this report.
List of subsidiaries	List of subsidiaries included in accounting consolidation is listed in note 5 to the audited consolidated financial statements.	List of subsidiaries included in regulatory consolidation are listed in note 5 of the audited consolidated financial statements except Abu Dhabi Commercial Property Development LLC, Abu Dhabi Commercial Engineering Services LLC, Al Hur 1 Holding Limited, Al Hur 2 Holding Limited and Al Wifaq Investment Properties PJSC as these are commercial entities.

5. Highlights

5.1 CET1 Capital and ratio

ADCB actively manages its capital ratios in line with its risk appetite which have a healthy cushion over the minimum regulatory capital requirements. Bank's balance sheet increased by AED 85.7bn which was supported by CET1 capital base organically generated through retained earnings.

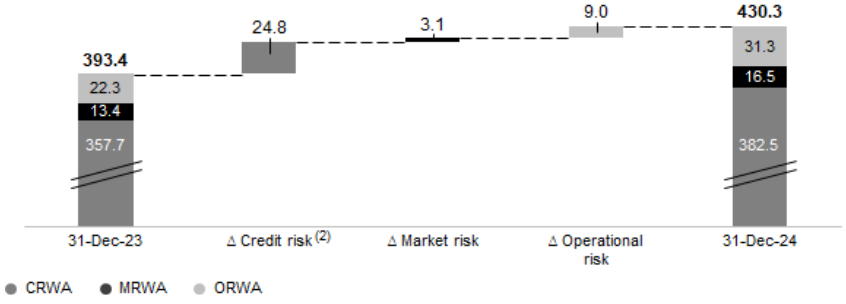
Capital adequacy ratio walkthrough (%)(1)



5.2 RWAs

RWA of AED 430 bn as at 31 December 2024 increased by AED 37 bn over last year, mainly due to AED 86 bn growth in asset size thereby increasing the CRWA by AED 25 bn. MRWA increased by AED 3 bn primarily due to increase in trading volumes and increased foreign exchange positions. Increase in ORWA of AED 9 bn was due to increase in average operating profit during the past 3 years.

Risk weighted assets walkthrough (AED bn)



Note: Figures may not add up due to rounding differences

(1) UAE CB minimum CET1, Tier 1 and CAR requirements; 10.09%, 11.59% and 13.59% (including Credit Countercyclical Buffer regulatory requirement of 9 bps for Dec'24, subject to change every quarter)

(2) Includes increase in credit valuation adjustment charge

CRWA – Credit risk weighted assets
MRWA – Market risk weighted assets
ORWA – Operational risk weighted assets

6. Key Prudential Regulatory Metrics (at consolidated group level)

6.1 Key metrics for the Group (KM1)

The table below sets out the key regulatory metrics covering the Group's available capital (including buffer requirements and ratios), RWAs, Leverage ratio, LCR and NSFR.

AED '000

	31-Dec-24	30-Sep-24	30-Jun-24	31-Mar-24	31-Dec-23
Available capital (amounts)					
Common Equity Tier 1 (CET1)	**54,027,064**	56,425,942	53,869,773	52,131,203	50,602,422
Tier 1	**62,781,814**	65,180,692	62,624,523	60,885,953	59,357,172
Total capital	**69,394,083**	71,813,433	67,174,587	65,420,578	63,827,876
Total risk-weighted assets (RWA)	**430,301,800**	430,543,814	408,970,745	402,296,859	393,427,568
Risk-based capital ratios as a percentage of RWA					
Common Equity Tier 1 ratio (%)	**12.56%**	13.11%	13.17%	12.96%	12.86%
Tier 1 ratio (%)	**14.59%**	15.14%	15.31%	15.13%	15.09%
Total capital ratio (%)	**16.13%**	16.68%	16.43%	16.26%	16.22%
Additional CET1 buffer requirements as a percentage of RWA					
Capital conservation buffer requirement (2.5% from 2019) (%)	**2.50%**	2.50%	2.50%	2.50%	2.50%
Counter - cyclical buffer requirement (%)	**0.09%**	0.08%	0.08%	0.06%	0.05%
Bank D-SIB additional requirements (%)	**0.50%**	0.50%	0.50%	0.50%	0.50%
Total bank CET1 specific buffer requirements (%)	**3.09%**	3.08%	3.08%	3.06%	3.05%
CET1 available for the buffer requirement (%)	**5.56%**	6.11%	5.93%	5.76%	5.72%
Basel III Leverage Ratio					
Total Basel III leverage ratio measure	**717,310,154**	706,532,289	657,496,885	647,431,117	620,191,117
Basel III leverage ratio (%)	**8.75%**	9.23%	9.52%	9.40%	9.57%
Liquidity Coverage Ratio*					
Total HQLA	**118,280,427**	116,224,154	108,465,972	112,354,163	118,084,547
Total net cash outflow	**86,119,711**	85,294,480	83,529,705	80,368,808	74,682,535
LCR ratio (%)	**137.34%**	136.26%	129.85%	139.80%	158.12%
Net Stable Funding Ratio					
Total available stable funding	**396,615,695**	383,791,965	367,971,354	364,827,340	345,394,720
Total required stable funding	**366,551,377**	362,697,027	348,165,805	338,135,880	320,615,241
NSFR ratio (%)	**108.20%**	105.82%	105.69%	107.89%	107.73%

*LCR is calculated as at the end of each period rather than using average values. For average LCR, refer to table LIQ1

7. Comparison of accounting balance sheet and exposure at default

The differences between the financial and regulatory consolidated balance sheets arise primarily from differences in the basis of consolidation and the requirement to not consolidate for regulatory purposes commercial entities which are subject to full consolidation for financial purposes. Further, acceptances included in other assets are treated as off-balance sheet exposure for regulatory purpose and have been excluded from on-balance sheet disclosures. The regulatory risk category drives the approach applied in the calculation of regulatory exposures and RWA. Differences between accounting and regulatory scopes of consolidation and the mapping of financial statement categories with regulatory risk categories are disclosed in the following page.

7.1 Linkages between financial statements and regulatory exposures (LI1):

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	Carrying values of items						
	Carrying values as reported in audited consolidated financial statements	Carrying values under scope of regulatory consolidation	Subject to credit risk framework	Subject to counterparty credit risk framework	Subject to the securitisation framework	Subject to market risk framework/ Equity risk	Not subject to capital requirements or subject to deduction from capital
Assets							
Cash and balances with central banks, net	46,222,548	46,222,550	46,222,550	-	-	-	-
Deposits and balances due from banks, net	50,214,028	46,244,727	46,244,727	-	-	-	-
Financial assets at fair value through profit or loss	12,869,631	12,869,631	-	-	-	12,869,631	-
Derivative financial instruments	18,973,188	18,973,188	-	18,973,188	-	12,189,372	-
Investment securities	142,989,163	142,989,163	142,067,867	-	-	921,296	-
Loans and advances to customers, net	350,638,304	350,638,304	344,398,212	-	3,042,025	3,198,067	-
Investment in associates	329,025	329,025	329,025	-	-	-	-
Investment properties	1,715,622	916,920	916,920	-	-	-	-
Other assets, net	20,004,509	7,889,449	7,889,449	-	-	-	-
Property and equipment, net	1,886,034	1,884,934	1,387,920	-	-	-	497,014
Intangible assets, net	6,972,174	6,972,174	-	-	-	-	6,972,174
Total Assets	652,814,226	635,930,065	589,456,669	18,973,188	3,042,025	29,178,366	7,469,188
Liabilities							
Due to banks	11,276,704	7,307,403	-	-	-	-	11,276,704
Derivative financial instruments	23,891,228	23,891,228	-	23,891,228	-	11,601,142	-
Deposits from customers	421,059,909	421,059,909	-	-	-	-	421,059,909
Euro commercial paper	6,153,009	6,153,009	-	-	-	-	6,153,009
Borrowings	88,687,459	88,687,459	-	-	-	-	88,687,459
Other liabilities	26,179,008	13,333,817	-	-	-	-	26,179,008
Total Liabilities	577,247,317	560,432,825	-	23,891,228	-	11,601,142	553,356,089
Shareholders' equity							
Share capital	7,319,947	7,319,947	-	-	-	-	-
Share premium	17,878,882	17,878,882	-	-	-	-	-
Other reserves	11,081,986	11,081,986	-	-	-	-	-
Retained earnings	30,526,433	30,456,764	-	-	-	-	-
Capital notes (Basel III compliant capital instrument)	8,754,750	8,754,750	-	-	-	-	-
Non-controlling interests	4,911	4,911	-	-	-	-	-
Total shareholders' equity	75,566,909	75,497,240	-	-	-	-	-
Total shareholders' equity and liabilities	652,814,226	635,930,065	-	23,891,228	-	11,601,142	553,356,089

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	Carrying values of items						
	Carrying values as reported in audited consolidated financial statements	Carrying values under scope of regulatory consolidation	Subject to credit risk framework	Subject to counterparty credit risk framework	Subject to the securitisation framework	Subject to market risk framework/ Equity risk	Not subject to capital requirements or subject to deduction from capital
Assets							
Cash and balances with central banks, net	45,375,462	45,375,460	45,375,460	-	-	-	-
Deposits and balances due from banks, net	37,624,694	37,624,694	37,624,694	-	-	-	-
Financial assets at fair value through profit or loss	10,063,020	10,063,020	-	-	-	10,063,020	-
Derivative financial instruments	13,859,086	13,859,086	-	13,859,086	-	10,041,345	-
Investment securities	128,268,397	128,268,397	127,373,992	-	-	894,405	-
Loans and advances to customers, net	301,994,599	301,994,599	296,712,628	-	2,032,033	3,249,938	-
Investment in associates	370,622	370,622	370,622	-	-	-	-
Investment properties	1,741,460	956,629	956,629	-	-	-	-
Other assets, net	18,960,358	6,637,951	6,637,951	-	-	-	-
Property and equipment, net	1,887,596	1,885,505	1,427,685	-	-	-	457,820
Intangible assets, net	7,049,191	7,049,191	-	-	-	-	7,049,191
Total Assets	567,194,485	554,085,154	516,479,661	13,859,086	2,032,033	24,248,708	7,507,011
Liabilities							
Due to banks	8,794,968	8,794,968	-	-	-	-	8,794,968
Derivative financial instruments	16,239,495	16,239,495	-	16,239,495	-	9,374,387	-
Deposits from customers	362,905,039	362,905,039	-	-	-	-	362,905,039
Euro commercial paper	7,777,655	7,777,655	-	-	-	-	7,777,655
Borrowings	76,653,334	76,653,334	-	-	-	-	76,653,334
Other liabilities	23,570,527	10,545,693	-	-	-	-	23,570,527
Total Liabilities	495,941,018	482,916,184	-	16,239,495	-	9,374,387	479,701,523
Shareholders' equity							
Share capital	7,319,947	7,319,947	-	-	-	-	-
Share premium	17,878,882	17,878,882	-	-	-	-	-
Other reserves	10,591,907	10,591,907	-	-	-	-	-
Retained earnings	26,701,111	26,616,615	-	-	-	-	-
Capital notes (Basel III compliant capital instrument)	8,754,750	8,754,750	-	-	-	-	-
Non-controlling interests	6,870	6,870	-	-	-	-	-
Total shareholders' equity	71,253,467	71,168,971	-	-	-	-	-
Total shareholders' equity and liabilities	567,194,485	554,085,155	-	16,239,495	-	9,374,387	479,701,523

7.2 Main sources of differences between regulatory exposure amounts and carrying values in financial statements (LI2)

The below table shows the effect of regulatory adjustments required to derive the Banks's exposure at default (EAD) for the purposes of calculating its capital requirements. The differences between the carrying values under regulatory scope of consolidation and amounts considered for regulatory purposes shown in section 7.1 are mainly provisions, collateral, off-balance sheet exposures and netting benefits on derivatives as detailed below:

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		Items subject to			
	Total	**Credit risk framework**	**Counterparty credit risk framework ***	**Securitisation framework**	**Market risk framework/ Equity risk**
Total assets under regulatory scope of consolidation (as per LI1)	**640,650,248**	**589,456,669**	**18,973,188**	**3,042,025**	**29,178,366**
Off-balance sheet amounts recognised in regulatory exposure (post-CCF) including acceptances	**81,534,946**	**81,345,816**	**-**	**189,130**	**-**
Differences due to consideration of provisions, IIS and other adjustments	**11,967,811**	**11,967,811**	**-**	**-**	**-**
Total Potential Future Exposure (PFE), collateral mitigation, netting agreements and alpha factor (1.4) under standardized approach	**(6,211,448)**	**-**	**(6,211,448)**	**-**	**-**
Others	**-**	**-**	**-**	**-**	**-**
Gross exposures before credit risk mitigation	**727,941,557**	**682,770,296**	**12,761,740**	**3,231,155**	**29,178,366**
Credit risk mitigation excluding guarantees	**(55,807,099)**	**(55,807,099)**	**-**	**-**	**-**
Gross regulatory exposures	**672,134,458**	**626,963,197**	**12,761,740**	**3,231,155**	**29,178,366**

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		Items subject to			
	Total	Credit risk framework	Counterparty credit risk framework*	Securitisation framework	Market risk framework / Equity risk
Total assets under regulatory scope of consolidation (as per LI1)	556,619,488	516,479,661	13,859,086	2,032,033	24,248,708
Off-balance sheet amounts recognised in regulatory exposure (post-CCF) including acceptances	67,250,229	67,184,098	-	66,131	-
Differences due to consideration of provisions, IIS and other adjustments	13,297,752	13,297,752	-	-	-
Total Potential Future Exposure (PFE), collateral mitigation, netting agreements and alpha factor (1.4) under standardized approach	(4,819,728)	-	(4,819,728)	-	-
Others	-	-	-	-	-
Gross exposures before credit risk mitigation	632,347,741	596,961,511	9,039,358	2,098,164	24,248,708
Credit risk mitigation excluding guarantees	(40,582,244)	(40,582,244)	-	-	-
Gross regulatory exposures	591,765,497	556,379,267	9,039,358	2,098,164	24,248,708

*treated as off-balance sheet exposure in regulatory reporting

IIS - Interest in suspense

Explanations of differences between accounting and regulatory exposure amounts

Off-balance sheet amounts - Off-balance sheet amounts include undrawn portions of committed facilities, trade finance commitments and guarantees.

Differences due to consideration of provisions - The carrying value of assets is net of credit risk adjustments.

Differences due to the use of credit risk mitigation techniques - Exposure value under the standardised approach is calculated after deducting credit risk mitigation whereas accounting value is before such deductions.

Differences due to credit conversion factors - Exposure value of off-balance sheet items are calculated after the application of the relevant conversion factors as defined in the Standards and Guidance re Capital Adequacy in the UAE – December 2022.

8. Risk management

8.1 Our risk management framework

ADCB prioritises a disciplined approach to risk in recognition of its fundamental importance to the Bank's long-term organisational and financial resilience.

The risk governance framework is based on the overall strong corporate governance structure in the Group. The Group has a formally documented Enterprise Risk Management (ERM) policy that covers the following:

- Establish principles of risk management that are common across all risks and lines of defence;
- Details the governance structure, roles and responsibilities of all stakeholders in relation to risk management;
- Outlines the risk strategy and risk appetite and
- Outline approach to risk management across the risk management lifecycle.

The Group's governance structure is anchored by a robust and effective Board, reinforced by specialized Board Committees, tasked with executing their roles and responsibilities. The Board Risk Committee (BRC) oversees management, monitoring and review of financial and non-financial risks. It works with management to define risk appetite and strategy as appropriate for particular sectors, geographic regions and customer types. It periodically reviews and monitors compliance with the Group's overall risk appetite and makes recommendations to the Board based on current and emerging risks.

The BRC receives on a regular basis, portfolio level briefings from the Group Chief Risk Officer (GCRO) along with deep dives on risk issues, including ADCB's portfolio trends, policy parameters, operational resilience, UAE and other market risk profiles, key risk indicators, results of stress testing and changes to the assumptions, liquidity measures, capital adequacy and planning. The BRC is authorized to investigate or seek any information relating to any activity within its terms of reference. The BRC also conducts 'deep dive' reviews on a rolling basis of different sections of the consolidated group risk information report.

The Management Executive Committee (MEC) has primary responsibility for implementing, overseeing, and taking ownership for the enforcement of risk strategy and internal control directives laid down by the Board and Board committees.

In addition to MEC, other management level committees that actively manage risk and compliance include:

- Assets and Liabilities Management Committee (ALCO),
- Risk Management Committee (RMC),
- Model Risk Management Committee (MRMC),
- Management Recoveries Committee (MRC),
- Management Credit Committee (MCC) and
- Management Compliance Committee.

The Risk Management function headed by the GCRO reports independently to BRC and administratively to the Group Chief Executive Officer (GCEO). The risk function is independent of the origination, trading, and sales function to ensure balance in risk reward decision is not compromised and to ensure transparency of decisions in accordance with laid down standards and policies. The risk function is also independent of the credit underwriting division which is headed by the Group Chief Credit Officer. The risk function exercises control over all areas of risks. Each key risk function is established as independent unit under the Group Risk Management and has functional heads leading them. These includes credit, market, liquidity, operational, fraud, Shari'ah, reputational, data management, information security, ESG (Environment, Social Governance), model risk and digital risk.

The risk function also oversees Group's international branches and subsidiaries.

Role of the Board Audit Committee

Board Audit Committee (BAC) provides assistance to the Board to fulfil its duties to ensure and oversee the Group's financial statements, independence and performance of the Group's external and internal auditors, adherence with legal and regulatory requirements and internal policies and internal control over financial reporting. BAC also has oversight of the Bank's compliance activities (financial crime prevention, anti-money laundering, know your customer requirements, etc.) and CBUAE standards and regulations that affect the operations of the Bank.

Role of the Internal Audit division

The Internal Audit division (IAD) aims to apply a systematic and disciplined approach to evaluating and improving the effectiveness of the Group's risk management, control, and governance processes. The IAD reports directly to BAC. The IAD consists of a team of auditors, whose tasks are, among other things, to evaluate the quality of the Group's lending portfolio, controls in operational processes and the integrity of the Group's information systems and databases. The IAD auditors, alongside the compliance department, also ensure that transactions undertaken by the Group are conducted in compliance with applicable legal and regulatory requirements and in accordance with the Group's internal procedures, thereby minimising the risk of fraudulent, improper, or illegal practices.

Three lines of defence model

ADCB has an activity-based three lines of defence model. The lines of defence structure are put in place to ensure a clear segregation between risk ownership (First line of defence), risk oversight and stewardship (Second line of defence) and independent assurance (Third line of defence) to support the effective identification, assessment, management and reporting of risks.

Risk identification, assessment and mitigation

The Group identify and assess various types of risk and the risk management policies are designed to measure, monitor and control these risks. The Group also conducts regular stress tests to understand potential vulnerabilities and inform capital and liquidity decisions and also regularly scans the threat landscape and introduces new policies and functions to complement its suite of policies. In 2024, the Group introduced and/or strengthened several key polices and controls with respect to subsidiary oversight, climate risk stress tests, investment lending policies and digital risk.

Culture and training

Regular training and development is recognized as an essential element in the successful execution of the Bank's risk strategy and ERM framework. Comprehensive ongoing training as well as specific learning and development opportunities are provided to employees including the following:

- Foundational basic awareness: Introductory training at all levels, including risk content within the Bank's induction programme for all new joiners, and mandatory eLearning for all existing employees.
- Role specific tailored content: Role specific training across all departments with deep dives on specific topics such as climate change.
- Advanced specialist certificates: Carefully selected specialized international certificates to support colleagues with deeper understanding of specific topics such as Islamic banking, sustainable finance and ESG

8.2 Risk appetite

The Group's risk appetite framework is based on a comprehensive perspective of its business model, organisational capabilities and skills and financial strength. By taking this holistic perspective, The Group ensures that the defined risk appetite measures are well grounded in the Group capabilities and realistically achievable. It not only broadens the perspective on potential risks, but also mitigating actions and ambitions to improve its risk management capabilities. The risk appetite is formally articulated through the RAS (risk appetite statement) which is approved by the Board. The Group's risk appetite statement has the following key call-outs:

- Covers 18 areas of risk articulated via qualitative and quantitative metrics.

- Framework covers ADCB Group and each subsidiary / international branch develops its RAS within the Group's framework. The RAS is reviewed on an annual basis.
- A separate reporting for Islamic window.
- Regular update to the Board Risk Committee via a dashboard to monitor all metrics.

8.3 Material risks

Pillar 3 requires that all material risks be disclosed to provide a comprehensive view of a bank's risk profile. In addition to the disclosure in this document, other information on material risks can be found in our Annual Report.

Principal risk	Our risk management approach
Capital risk	We maintain a healthy and pro-active approach to capital management, including the maintenance of buffers sufficient to support our strategic aims and maintenance of an investment-grade rating. ADCB is well-capitalised and regularly runs stress tests to ensure sufficient capital coverage. We manage capital utilisation, and business growth within the risk-weighted asset (RWA) target ranges reflected in our business plans. Such plans also target the stability of earnings. We grow our business by targeting recurring economic profit commensurate with risks being taken and returns expected. Capital implications from our ICAAP and stress test results also feed into the Bank's considerations. RWA consumption is tracked in Financial Performance Management Committee (FPMC) including a comprehensive analysis of variances, which is further backed by a forecast. The committee discusses the trends and implications and recommends actions such as capital optimization and capital issuance.
Compliance/ Regulatory risk	We are committed to upholding compliance standards, laws, regulations, and industry standards, as well as internal policies and sound corporate governance principles. Identified breaches are remedied as soon as practicable. The Bank has no appetite for deliberate or negligent non-compliance and compliance/hygiene key performance indicators (KPIs) are part of every employee's appraisal/score.
Conduct risk	We maintain the standards in our Code of Conduct and core values, ensuring we always do the right thing' in how we conduct business. The Bank expects employees, vendors/suppliers, contractors and temporary staff/sales agents to conduct themselves with a high degree of integrity and to strive for excellence in the work they perform and the outcomes they achieve. All suppliers must comply with the Bank's Vendor Code of Conduct as s well as adhering to applicable laws and standards. The appetite for behaviours that do not meet these standards is very low. ADCB takes any breaches of its Code of Conduct very seriously. We have clearly defined policies on anti-bribery and corruption, anti-money laundering and insider trading. We are committed to creating a safe working environment for all our employees, vendors/suppliers, contractors and temporary staff/sales agents, where they are protected from physical and psychological harm. We have zero-tolerance for practices or behaviours that could be expected to lead to staff being harmed while at work. We are also committed to treating our customers fairly by operating with transparency and providing clear information on products and services, managing conflicts of interest related to these services, avoiding misselling. We maintain a rigorous process to ensure that the products and services we provide are suitable to customers.

Credit risk	We manage our credit exposures by having a sound analytical framework, focusing on analysing cash flows and considering the legal framework of the Bank and borrower. We apply a set of criteria and policies to lending, which means we only deal with clients with good creditworthiness. We have a greater appetite for risk in industries we understand well and have the insights, capability, and capacity to manage and monitor. We remain a relationship-driven business rather than pursuing opportunistic transactions. Wherever possible, collateral is taken to reduce unsecured lending. Larger transactions are taken to the BEC for approval and the full Board to meet regulatory requirements.
Data privacy and data protection risk	The Bank has no appetite for 'significant' breaches of personal data processed by the Bank and a very low appetite for 'insignificant' breaches of personal data. The Bank ensures all controls identified during data protection impact assessments are implemented within defined timelines. The Bank facilitate the exercise of data subject rights, as required within the timeframes specified in applicable laws. We are committed to ensuring that customer information is authentic, appropriately classified, properly conserved and managed in accordance with legislative and business requirements and that there is no deliberate misuse of customer information. The Bank has no appetite for compromise of processes or data integrity issues that may cause limited or erroneous data to adversely affect our ability to make correct business decisions or jeopardise the integrity of management and regulatory reporting, which may also lead to financial loss. This also extends to leakage of customer data outside the organisation. The Bank will act to mitigate these risks at all times balancing the cost of maintaining a control environment against the impact and likelihood assessment of a risk happening.
Financial crime risk	We have no tolerance for breaches in law and regulations related to financial crime, recognising that while incidents are unwanted, they cannot be entirely avoided. The Bank has no appetite for any fraud or corruption perpetrated by its staff. All allegations of suspected fraud or corruption are taken seriously, as set out in the Code of Conduct.
Information security and technology risk	We have a minimal appetite for risk concerning the availability of critical business systems. Service availability requirements have been identified and agreed upon within each business area. We have no appetite for damage to our assets from threats arising from malicious attacks. We have strong internal processes, and robust technology controls to address this risk. Our appetite remains low for IT system-related incidents generated by improper project management practices, excluding the unknowns before any 'go live'. ADCB provides a secure environment for its people and assets by ensuring its physical measures meet high standards. We have no appetite for the failure of physical security measures. We are committed to ensuring that information is authentic, appropriately classified, properly conserved, and managed per legislative and business requirements. We have no appetite for the deliberate misuse of information. Nor do we have any appetite for compromise of processes or data integrity issues that may cause limited or erroneous data to adversely affect our ability to make correct business decisions or jeopardise the integrity of management and regulatory reporting, which may also lead to financial loss. We always mitigate these risks, balancing the cost of maintaining a controlled environment against the impact and likelihood assessment of a risk occurring.
Liquidity and funding risk	We actively manage our liquidity and funding base to ensure that the Bank always has sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to ADCB's reputation.

	We have no appetite for losing our investment grade ratings and are mindful of managing liquidity and funding within the constraints of Basel III, regulatory obligations and the desire to be the last bank standing.
Market risk	We control our trading portfolio and activities to ensure that losses related to market risk (financial or reputational) do not cause material damage to the Bank. Our appetite across 10 key categories is set out within the market risk appetite framework, covering: interest rate risk, foreign exchange risk, equity exposure risk, commodity risk, volatility risk, counterparty risk and liquidity risk. Specific limits are established based on the trading book, investment book and banking book activities.
Model risk	We look to minimise the impact of model risk by ensuring it has an appropriate governance framework in place (separating model development and model validation functions); regular internal and external validations; and remediation activities tracked via the model inventory tool. The Model Risk Management Committee (MRMC) is chaired by GCRO which reviews and approves all the models of the Bank. ADCB will also set aside a provision overlay to capture the inherent model risk that the Bank has by virtue of reliance on numerous models covering market risk/credit risk/provisioning etc.
Operational risk	Operational risk is a fundamental element of the Bank's approach to risk and impacts its banking products, activities, processes and systems. Our framework ensures a consistent approach and supports business objectives, reinforces a proactive risk management culture, and continuously improves ADCB's control environment. We manage operational risk by ensuring accountability and ownership across the Bank. We employ tools to reduce the probability of the occurrence of operational risk events that could threaten the Bank's reputation, the quality of our services and products, or the efficiency of our processes. We monitor the stability of our systems, the effectiveness of business continuity planning and disaster recovery to ensure the level of service we offer customers, and regulators' expectations are never compromised. We have adopted five levels of operational risk severity ratings — minor, low, moderate, major and extreme — whereby minor and low risks lie within the Bank's risk appetite and extreme constitutes a threat to the Bank's ability to continue its operations. The Bank mitigates these risks at all times, balancing the cost of maintaining a controlled environment against the impact and likelihood of a risk occurring.
Reputational risk	We protect the Bank from material damage to its reputation by ensuring that any business activity is satisfactorily assessed and managed by the appropriate management and governance oversight level. We have a very low appetite for material legal cases against the Bank and, where appropriate, will adequately make provisions in a timely manner.
Sustainability risk	We comply with international reporting standards and industry best practice to facilitate a proactive approach to managing ESG risks and opportunities, which are underpinned by UN Sustainable Development Goals (SDGs). We will maximise our contribution to an inclusive, net zero economy to support the UAE's Net Zero by 2050 Strategic Initiative. To support customers on their path to success in a net zero economy, ADCB has joined the Net Zero Banking Alliance (NZBA). Convened by the UN Environment Programme Finance Initiative (UNEP FI), the NZBA brings together more than 130 global banks with over USD 56 trillion in total assets that have committed to financing ambitious climate action to transition the real economy in line with the goals of the Paris Agreement. In joining the NZBA, ADCB has pledged to align its lending and investment portfolios with the imperative of limiting global warming to 1.5°C, in line with the Paris Agreement. ADCB's commitment to NZBA forms an integral part of the Bank's enhanced climate strategy. At the core of this approach is supporting customers in their transition to an inclusive, sustainable economy. As a member of the alliance, ADCB is committed to the following actions on climate:

	▸ Transition the operational and attributable GHG emissions from lending and investment portfolios to align with pathways to net zero by 2050 or sooner ▸ Within 18 months of joining, set targets for 2030 or sooner and a 2050 target, with intermediary targets to be set every five years from 2030 onwards ▸ The Bank's first 2030 targets will focus on priority sectors where it can have the most significant impact, i.e. the most GHG-intensive sectors, with further sector targets to be set within 36 months
Climate risk	ADCB is a signatory to the 'UAE Climate-Responsible Companies Pledge' with the Ministry of Climate Change and Environment (MOCCAE), reaffirming its commitment to the UAE's Net Zero by 2050 Strategic Initiative and with the Paris Agreement to limit global warming to well below 2°C. The Bank further demonstrated its support for climate action, with a strategic decision to join the global Net Zero Banking Alliance (NZBA) in November 2023. To drive action towards Net Zero the Bank adopted a new climate framework in 2023, designed to drive emission reductions across its financing, operations and supply chain.
Islamic banking risk	We aim to protect the Bank and its Islamic Banking customers from material damage by ensuring that any business activity is satisfactorily assessed and managed by the appropriate level of management and governance oversight in accordance with Islamic principles, regulations and Internal Shari'ah Supervisory Committee (ISSC) guidance. ADCB has a low appetite for non-compliance with Shari'ah guidance and regulations and has an Internal Shari'ah Control Department (ISCD) which is part of the GCRO oversight responsibilities to ensure compliance with the regulations and ISSC guidance.

9. Capital management

9.1 Capital management process

The Group's objectives when managing capital are:

- to comply with the capital requirements set by the CBUAE;
- to safeguard the Group's ability to continue as a going concern and increase the returns for the shareholders; and
- to maintain a strong capital base to support the development of its business.

Capital adequacy and the use of regulatory capital are monitored on a regular basis by the Bank's management employing techniques based on the guidelines developed by the Basel Committee and the CBUAE.

The Bank's capital management aims to guarantee solvency and maximize profitability, while complying with regulatory requirements and internal objectives. It is a key strategic tool for decision making, enabling us to set a common framework of actions, criteria, policies, functions, metrics and processes. Our active capital management applies strategies on efficient use of capital by allocating RWA targets to business lines.

The capital and leverage ratios disclosed in this report are calculated by applying the Central Bank of UAE capital standards and guidelines as mentioned in section 2 of this report.

- At year-end, the Pillar 1 CET1 ratio was 12.56% (post proposed dividend) which is 247 bps above the regulatory minimum and Pillar 1 CAR was 16.13% which is 254 bps above the regulatory minimum.
- The leverage ratio stood at 8.75% against a regulatory minimum of 3.5%.

9.2 RWA allocation

The allocation of RWAs between specific operations and activities is largely driven by optimisation of the return achieved on RWA allocated. The amount of RWA allocated to each operation or activity is based primarily upon the consumption of regulatory capital on the RWA so allocated and calibrated on an ongoing basis to align with the Group's business strategy. The process of allocating target RWAs to specific operations and activities is undertaken independently by Group Finance and is subject to review by the FPMC at regular intervals.

9.3 Stress testing

ADCB carries out stress tests to assess bank's potential vulnerability to 'stressed' business conditions. These tests enables us to quantify adverse unexpected outcomes related to a variety of risks and facilitate putting in place risk mitigation plans to safeguard its safety and soundness. This includes providing sufficient amount of financial resources (including capital and liquidity) and implementing other contingency plans that are required to withstand losses arising from a particular stressed scenario.

Further, our stress testing programme includes execution of stress tests mandated by our regulators and those to meet our own internal requirements. Our stress testing is supported by dedicated teams and infrastructure.

9.4 Capital resources (CC1)

All capital instruments included in the capital base meet the requirements set out in the Central Bank of UAE capital standards and guidelines (December 2022).

		AED '000
	31-Dec-24	31-Dec-23
Common Equity Tier 1 (CET 1) capital: instruments and reserves		
Share capital and share premium	**25,198,829**	25,198,829
Retained earnings	**26,150,487**	22,517,028
Accumulated other comprehensive income (and other reserves)	**10,220,916**	10,368,992
Common Equity Tier 1 capital before regulatory deductions	**61,570,233**	58,084,850
Common Equity Tier 1 capital regulatory adjustments		
Goodwill and other intangible assets	**(7,469,188)**	(7,507,011)
Deferred tax assets	**(31,206)**	(13,289)
Cash flow hedge reserve	**133,193**	116,742
Investments in own CET1	**(175,969)**	(78,869)
Total regulatory adjustments to Common Equity Tier 1	**(7,543,169)**	(7,482,427)
Common Equity Tier 1 capital (CET1)	**54,027,064**	50,602,422
Additional Tier 1 capital: instruments (AT1)		
Eligible Additional Tier I capital	**8,754,750**	8,754,750
Tier 1 capital (T1= CET1 + AT1)	**62,781,814**	59,357,172
Tier 2 capital: instruments and provisions		
Tier 2 capital (T2)	**6,612,269**	4,470,704
Total regulatory capital (TC = T1 + T2)	**69,394,083**	63,827,876
Total risk-weighted assets	**430,301,800**	393,427,568
Capital ratios		
Capital Adequacy ratio including buffers	**16.13%**	16.22%
CET 1 ratio	**12.56%**	12.86%
Tier 1 ratio	**14.59%**	15.09%
Institution specific buffer requirement	**3.09%**	3.05%
Of which: capital conservation buffer requirement	**2.50%**	2.50%
Of which: bank-specific counter -cyclical buffer requirement	**0.09%**	0.05%
Of which: D-SIB	**0.50%**	0.50%
CET1 available for the buffer requirement	**5.56%**	5.72%
National minima (if different from Basel III)		
National Common Equity Tier 1 minimum ratio	**7.00%**	7.00%
National Tier 1 minimum ratio	**8.50%**	8.50%
National total capital minimum	**10.50%**	10.50%
Amounts below the thresholds for deduction (before risk weighting)		
Significant investments in common stock of financial entities	**-**	-
Mortgage servicing rights	**-**	-
Deferred tax assets arising from temporary differences	**-**	-
Applicable caps on the inclusion of provisions in Tier 2 (under standardised approach)		
Provisions eligible for inclusion in Tier 2	**4,956,220**	6,056,184
Cap on inclusion of provisions in Tier 2	**4,780,856**	4,470,704
Capital instruments subject to phase-out arrangements		
Current cap on T2 instruments subject to phase-out arrangements	**-**	-
Amount excluded from T2 due to cap (excess after redemptions and maturities)	**-**	-

Common equity tier 1 (CET1) capital resources

a) Ordinary shareholders' funds, which include the cumulative proceeds from the issuance of ordinary shares at their nominal value net of treasury shares. These instruments confer a share of ownership in the Bank and carry no obligations.

b) Statutory and Legal reserves:

- Statutory reserve: As required by Article 241 of the UAE Federal Decree Law No. (32) of 2021 (as amended), 10% of the net profit for the year is transferred to the statutory reserve. The Bank may resolve to discontinue such annual transfers when the reserve equals 50% of the nominal value of the paid-up share capital. Accordingly, no transfers were made to statutory reserve during the year (2023 – AED 181,284 thousand). The statutory reserve is not available for distribution.
- Legal reserve: In accordance with the Articles of Association of the Bank and Decretal Federal Law No. (14) of 2018, 10% of the net profit for the year is transferred to the legal reserve. The Bank may resolve to discontinue such annual transfers when the reserve equals 50% of the nominal value of the paid-up share capital. Accordingly, no transfers were made to legal reserve during the year (2023 – AED 181,284 thousand). The legal reserve is not available for distribution.

c) General and Contingency reserves:

- General reserve: In accordance with the Articles of Association of the Bank, a further percentage of net profit for the year can be transferred to the general reserve based on the recommendation of the Board of Directors. This reserve may only be used for the purposes recommended by the Board of Directors and approved by the shareholders.
- Contingency reserve: The contingency reserve is established to cover unforeseen future risks or contingencies which may arise from general banking risks.
- Retained earnings which represent the cumulative profits not distributed to shareholders, and other eligible reserves.

d) Regulatory deductions and adjustments:

- Goodwill and other intangible assets.
- Cash flow hedge reserve: The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges are recognised in other comprehensive income and accumulated in equity. However, it is limited to 45% of positive balance of cash flow hedge reserve relating to financial instruments that are carried at fair value.
- Employees' incentive plan shares: The Bank grants equity-settled share-based payments to employees. These shares are acquired by ACB LTIP (IOM) Limited (Trust) for its employees and are deducted from capital.
- Revaluation reserve of investments designated at FVTOCI: This includes the cumulative net change in the fair value of investments measured at fair value through other comprehensive income. However, it is limited to 45% if the balance is positive.

Additional tier 1 (AT1) capital resources

This represents Tier 1 regulatory capital notes issued by the Bank and subscribed mainly by the Department of Finance, Government of Abu Dhabi.

Tier 2 capital resources

(a) Collective impairment on loans and advances limited to 1.25% of credit risk-weighted assets.
(b) Eligible subordinated notes (Note 20 of audited consolidated financial statement).

9.5 Reconciliation of regulatory capital to balance sheet (CC2)

The following table shows the reconciliation between balance sheet prepared for audited consolidated financial statements with that prepared for regulatory reporting. The amount shown under the regulatory scope of consolidation is not a RWA measure as it is based on accounting measure and cannot be directly reconciled to other disclosures in this report which are prepared applying Basel 3 rules.

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	31-Dec-24		31-Dec-23	
	Balance sheet as per audited consolidated financial statements	**Under regulatory scope of consolidation**	Balance sheet as per audited consolidated financial statements	Under regulatory scope of consolidation
Assets				
Cash and balances with central banks, net	**46,222,548**	**46,222,550**	45,375,462	45,375,460
Deposits and balances due from banks, net	**50,214,028**	**46,244,727**	37,624,694	37,624,694
Financial assets at fair value through profit or loss	**12,869,631**	**12,869,631**	10,063,020	10,063,020
Derivative financial instruments	**18,973,188**	**18,973,188**	13,859,087	13,859,086
Investment securities	**142,989,163**	**142,989,163**	128,268,397	128,268,397
Loans and advances to customers, net	**350,638,304**	**350,638,304**	301,994,599	301,994,599
Investment in associates	**329,025**	**329,025**	370,622	370,622
Investment properties	**1,715,622**	**916,920**	1,741,460	956,629
Other assets, net	**20,004,509**	**7,889,449**	18,960,358	6,637,951
Of which: acceptances treated as off-balance sheet exposure	**12,956,224**	**-**	13,202,764	-
Of which: other assets	**7,048,285**	**7,889,449**	5,757,594	6,637,951
Property and equipment, net	**1,886,034**	**1,884,934**	1,887,596	1,885,505
Intangible assets, net	**6,972,174**	**6,972,174**	7,049,191	7,049,191
Of which: goodwill	**6,972,174**	**6,972,174**	6,753,517	6,753,517
Of which: other intangibles	**-**	**-**	295,674	295,674
Total assets	**652,814,226**	**635,930,065**	567,194,485	554,085,154
Liabilities				
Due to banks	**11,276,704**	**7,307,403**	8,794,968	8,794,968
Derivative financial instruments	**23,891,228**	**23,891,228**	16,239,495	16,239,495
Deposits from customers	**421,059,909**	**421,059,909**	362,905,039	362,905,039
Euro commercial paper	**6,153,009**	**6,153,009**	7,777,655	7,777,655
Borrowings	**88,687,459**	**88,687,459**	76,653,334	76,653,334
Of which: subordinated liability considered in Tier 2 capital	**1,764,960**	**-**	-	-
Of which: other borrowed funds	**86,922,499**	**88,687,459**	76,653,334	76,653,334
Other liabilities	**26,179,008**	**13,333,817**	23,570,527	10,545,692
Total liabilities	**577,247,317**	**560,432,825**	495,941,018	482,916,183
Shareholders' equity				
Share capital	**7,319,947**	**7,319,947**	7,319,947	7,319,947
Share premium	**17,878,882**	**17,878,882**	17,878,882	17,878,882
Other reserves	**11,081,986**	**11,081,986**	10,591,907	10,591,907
Retained earnings	**30,526,433**	**30,456,764**	26,701,111	26,616,615
Capital notes (Basel III-compliant capital instrument)*	**8,754,750**	**8,754,750**	8,754,750	8,754,750
Of which: included in AT1	**8,754,750**	**8,754,750**	8,754,750	8,754,750
Non-controlling interests	**4,911**	**4,911**	6,870	6,870
Total shareholders' equity	**75,566,909**	**75,497,240**	71,253,467	71,168,971
Total shareholders' equity and liabilities	**652,814,226**	**635,930,065**	567,194,485	554,085,154

*Details of material features of regulatory capital instruments are published in note 26 of audited consolidated financial statement

9.6 Main features of regulatory capital instruments (CCA)

31 December 2024

	Share capital and share premium	Additional Tier-1 Notes	Additional Tier-1 Notes	Additional Tier-1 Notes	Tier 2 Notes
Issuer	Abu Dhabi Commercial Bank PJSC	Abu Dhabi Commercial Bank PJSC	Abu Dhabi Commercial Bank PJSC	Abu Dhabi Commercial Bank PJSC	Abu Dhabi Commercial Bank PJSC
Unique identifier (eg CUSIP, ISIN,etc)	AEA000201011	-	-	XS2725803162	XS2893176276
Governing law (s) of the instrument	Laws of Emirate of Abu Dhabi	Laws of Emirate of Abu Dhabi	Laws of Emirate of Abu Dhabi	English law	English Law
Transitional Basel III rules	CET1	AT-1	AT-1	AT-1	Tier 2 Notes
Post-transitional Basel III rules	CET1	AT-1	AT-1	AT-1	Tier 2 Notes
Eligible at solo/group/group and solo	Group	Group	Group	Group	Group
Instrument type (types to be specified by each jurisdiction)	Ordinary Share	Equity	Equity	Equity	Borrowing
Amount recognised in regulatory capital (AED mn)	25,198	4,000	2,000	2,755	1,831
Par value of instrument (AED mn)	7,320	4,000	2,000	2,755	1,837
Accounting classification	Equity	Equity	Equity	Equity	Borrowing
Original date of issuance	29-Apr-85	23-Feb-09	24-Feb-09	27-Nov-23	10-Sep-24
Perpetual or dated	Perpetual	Perpetual	Perpetual	Perpetual	Dated
Original maturity date	-	N.A	N.A	N.A	10-Mar-35
Issuer call subject to prior supervisory approval	-	Yes	Yes	Yes	Yes
Optional call date, contingent call dates and redemption amount	-	23-Feb-27	24-Feb-27	27-Nov-28	10-Sep-29
Subsequent call dates, if applicable	-	Any coupon payment date on or after 23 February 2027	Any coupon payment date on or after 24 February 2027	Any day between first call date and first reset date, then every coupon date thereafter	Any day between first call date and first reset date, then every coupon date thereafter
Coupons/dividends	Dividends	Coupon	Coupon	Coupon	Coupon
Fixed or floating dividend/coupon	Floating	Floating	Floating	Fixed	Fixed
Coupon rate and any related index	-	6M EIBOR +2.30%	6M EIBOR +2.30%	8.00%	5.36%
Existence of a dividend stopper	-	Yes	Yes	Yes	No
Existence of step-up or other incentive to redeem	-	No	No	No	No
Non-cumulative or cumulative	Non-cumulative	Non-cumulative	Non-cumulative	Non-cumulative	N.A
If writedown, writedown trigger(s)	-	Non-Viability Event	Non-Viability Event	Non-Viability Event	Non-Viability Event
If writedown, full or partial	-	Determined by Financial Regulator	Determined by Financial Regulator	Determined by Financial Regulator	Determined by Financial Regulator
If writedown, permanent or temporary	-	Permanent	Permanent	Permanent	Permanent

9.7 Counter-cyclical capital buffer (CCyB)

The Bank's counter-cyclical capital buffer (CCyB) requirement is determined by applying various country-specific CCyB rates to the Bank's qualifying credit exposures in the relevant country (based on the jurisdiction of the obligor) on a weighted average basis.

The Group's current CCyB requirement is 9 bps:

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Geographical breakdown	Counter - cyclical capital buffer rate	Exposure values and/or risk-weighted assets used in the computation of the counter - cyclical capital buffer		Bank-specific counter - cyclical capital buffer rate	Counter - cyclical buffer amount
		Exposure values	Risk-weighted assets		
Germany	0.75%	2,983,370	1,634,620	0.005%	12,260
Denmark	2.50%	278,031	278,031	0.003%	6,951
France	1.00%	884,750	884,750	0.003%	8,848
United Kingdom	2.00%	6,023,740	5,825,458	0.044%	116,509
Hong Kong	1.00%	504,875	504,875	0.002%	5,049
Republic of Korea	1.00%	9,705,671	4,913,001	0.018%	49,130
Luxembourg	0.50%	2,470,163	1,634,754	0.003%	8,174
Netherlands	2.00%	1,116,135	1,116,135	0.008%	22,323
Belgium	1.00%	3,560	5,340	0.000%	53
Sweden	2.00%	285	285	0.000%	6
Ireland	1.50%	1,622,960	842,400	0.005%	12,636
Total		25,593,540	17,639,649	0.091%	241,937

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Geographical breakdown	Counter - cyclical capital buffer rate	Exposure values and/or risk-weighted assets used in the computation of the counter - cyclical capital buffer		Bank-specific counter - cyclical capital buffer rate	Counter - cyclical buffer amount
		Exposure values	Risk-weighted assets		
France	0.50%	207,547	207,548	0.000%	1,038
Germany	0.75%	1,549,613	1,549,613	0.005%	11,622
Hong Kong	1.00%	60,237	60,237	0.000%	602
Luxembourg	0.50%	4,445,865	2,549,034	0.005%	12,745
Netherlands	1.00%	368,790	368,790	0.001%	3,688
United Kingdom	2.00%	4,520,847	4,695,452	0.038%	93,909
Total		11,152,899	9,430,674	0.050%	123,604

10. Risk Weighted Assets

10.1 Our approach to measuring risk exposure and risk-weighted assets

Depending on the intended purpose, the reporting of risk exposure may differ under International Financial Reporting Standards (IFRS) when compared to reporting for regulatory capital purposes. Our Pillar 3 disclosures are generally based on risk exposure used to derive the regulatory capital required under Pillar 1. Our risk-weighted assets (RWA) are calculated according to the BCBS Basel 3 framework, as implemented by the Central Bank of the UAE.

10.2 RWA development in 2024

The OV1 table on the next page provides an overview of our RWA and the related minimum capital requirements by risk type. During the year 2024, RWA increased by AED 37 bn to AED 430 bn (2023 – AED 393 bn), primarily due to increase in credit risk weighted assets (CRWA) corresponding to increase in Bank's balance sheet.

10.3 Overview of risk weighted assets (OV1)

AED '000

	RWA					Minimum capital requirements*				
	31-Dec-24	30-Sep-24	30-Jun-24	31-Mar-24	31-Dec-23	**31-Dec-24**	30-Sep-24	30-Jun-24	31-Mar-24	31-Dec-23
Credit risk (excluding counterparty credit risk)	**366,588,543**	367,363,866	348,107,682	347,227,577	342,797,555	**49,819,383**	49,880,666	47,273,023	47,084,059	46,449,069
Of which: standardised approach (SA)	**366,588,543**	367,363,866	348,107,682	347,227,577	342,797,555	**49,819,383**	49,880,666	47,273,023	47,084,059	46,449,069
Of which: foundation internal ratings-based (F-IRB) approach	**-**	-	-	-	-	**-**	-	-	-	-
Of which: supervisory slotting approach	**-**	-	-	-	-	**-**	-	-	-	-
Of which: advanced internal ratings-based (A-IRB) approach	**-**	-	-	-	-	**-**	-	-	-	-
Counterparty credit risk (CCR)	**7,804,190**	**8,860,085**	**5,710,010**	**5,799,468**	**6,094,077**	**1,060,589**	1,203,022	775,419	786,408	825,747
Of which: standardised approach for counterparty credit risk	**7,804,190**	8,860,085	5,710,010	5,799,468	6,094,077	**1,060,589**	1,203,022	775,419	786,408	825,747
Of which: Internal Model Method (IMM)	**-**	-	-	-	-	**-**	-	-	-	-
Of which: other CCR	**-**	-	-	-	-	**-**	-	-	-	-
Credit valuation adjustment (CVA)	**6,377,110**	6,737,342	9,104,894	8,184,608	7,718,899	**866,649**	914,796	1,236,445	1,109,833	1,045,911
Equity positions under the simple risk weight approach	**-**	-	-	-	-	**-**	-	-	-	-
Equity investments in funds - look-through approach	**554,558**	514,214	460,670	600,829	498,486	**75,364**	69,820	62,559	81,472	67,545
Equity investments in funds - mandate-based approach	**-**	-	-	-	-	**-**	-	-	-	-
Equity investments in funds - fall-back approach	**-**	-	-	-	-	**-**	-	-	-	-
Settlement risk	**-**	-	-	-	-	**-**	-	-	-	-
Securitisation exposures in the banking book	**1,144,086**	646,156	621,861	957,551	547,316	**155,481**	87,735	84,449	129,844	74,161
Of which: securitisation internal ratings-based approach (SEC-IRBA)	**-**	-	-	-	-	**-**	-	-	-	-
Of which: securitisation external ratings-based approach (SEC-ERBA), including internal assessment approach	**-**	-	-	-	-	**-**	-	-	-	-
Of which: securitisation standardised approach (SEC-SA)	**1,144,086**	646,156	621,861	957,551	547,316	**155,481**	87,735	84,449	129,844	74,161
Market risk	**16,502,183**	16,909,251	16,728,797	12,498,198	13,436,625	**2,242,647**	2,295,938	2,271,771	1,694,756	1,820,663
Of which: standardised approach (SA)	**16,502,183**	16,909,251	16,728,797	12,498,198	13,436,625	**2,242,647**	2,295,938	2,271,771	1,694,756	1,820,663
Of which: internal model approaches (IMA)	**-**	-	-	-	-	**-**	-	-	-	-
Capital charge for switch between trading book and banking book	**-**	-	-	-	-	**-**	-	-	-	-
Operational risk	**31,331,130**	29,512,900	28,236,831	27,028,628	22,334,610	**4,257,901**	4,007,262	3,834,562	3,665,082	3,026,340
Amounts below thresholds for deduction (subject to 250% risk weight)	**-**	-	-	-	-	**-**	-	-	-	-
Floor adjustment	**-**	-	-	-	-	**-**	-	-	-	-
Total	**430,301,800**	430,543,814	408,970,745	402,296,859	393,427,568	**58,478,015**	58,459,240	55,538,228	54,551,454	53,309,435

* Minimum capital requirement is arrived at by using capital adequacy ratio including all regulatory buffers on RWA for respective reporting periods (December 2024 -13.59%).

10.4 Pillar 2 and ICAAP

ADCB conducts Pillar 2 capital assessment quarterly and ICAAP report annually to determine a forward-looking assessment of our capital requirements given our business strategy, risk profile, risk appetite and capital plan. The process incorporates the Group's risk management processes and governance framework. Economic capital models, coupled with stress testing and other risk assessment techniques, are used to assess our internal capital adequacy requirements and inform our view of our internal capital planning buffer. The ICAAP is formally approved by the Board, which has the ultimate responsibility for the effective management of risk and approval of ADCB's risk appetite. The ICAAP is also reviewed by The Central Bank of UAE.

11. Leverage Ratio

The Basel 3 leverage ratio is calculated by dividing the period-end tier 1 capital by the period-end leverage ratio denominator (LRD), as summarized in the tables below.

11.1 Summary comparison of accounting assets versus leverage ratio exposure measure (LR1)

AED '000

Summary comparison of accounting assets vs leverage ratio exposure measure	31-Dec-24	30-Sep-24	30-Jun-24	31-Mar-24	31-Dec-23
Total consolidated assets as per published financial statements	**652,814,226**	638,753,558	612,242,216	594,405,006	567,194,485
Adjustment for investments in banking, financial, insurance or commercial entities that are consolidated for accounting purposes but outside the scope of regulatory consolidation	**(9,031)**	(17,756)	(13,262)	(7,713)	(52,967)
Adjustment for fiduciary assets recognised on the balance sheet pursuant to the operative accounting framework but excluded from the leverage ratio exposure measure	**-**	-	-	-	-
Adjustments for derivative financial instruments	**(395,627)**	4,317,719	(1,869,888)	(425,376)	(660,549)
Adjustment for securities financing transactions (ie repos and similar secured lending)	**-**	-	-	2,541,409	-
Adjustment for off-balance sheet items (ie conversion to credit equivalent amounts of off-balance sheet exposures)	**80,053,688**	84,775,068	67,268,593	69,617,012	68,015,142
Other adjustments*	**(15,153,102)**	(21,296,300)	(20,130,777)	(18,699,222)	(14,304,996)
Leverage ratio exposure measure	**717,310,154**	706,532,289	657,496,882	647,431,116	620,191,115

*Includes adjustments for acceptances and intangible assets. Acceptances are treated as off-balance sheet exposure.

The LRD consists of IFRS on-balance sheet assets and off-balance sheet exposures. Derivative exposures are adjusted for a number of items, including replacement value and eligible cash variation margin netting, the current exposure method add-on and net notional amounts for written credit derivatives.

The table on the next page shows the reconciliation between total IFRS assets and the BCBS total on-balance sheet exposures. IFRS assets are the starting point for calculating the BCBS LRD, as shown in the LR2 table in this section. The difference is due to the application of the regulatory scope of consolidation for the purpose of the BCBS calculation. In addition, carrying amounts for derivative financial instruments and securities financing transactions (SFTs) are deducted from IFRS total assets. They are measured differently under BCBS leverage ratio rules and are therefore added back in separate exposure line items in the LR2 table.

11.2 Leverage ratio common disclosure (LR2)

AED '000

	31-Dec-24	30-Sep-24	30-Jun-24	31-Mar-24	31-Dec-23
On-balance sheet					
On-balance sheet items (excluding derivatives and SFTs)	**626,148,092**	610,304,211	582,055,287	569,735,623	546,484,447
Asset amounts deducted in determining Basel III Tier 1 capital	**(7,469,188)**	(7,449,753)	(7,461,494)	(7,479,600)	(7,507,011)
Total on-balance sheet exposures, excluding derivatives and SFTs	**618,678,904**	602,854,458	574,593,793	562,256,023	538,977,436
Derivative exposures (c + d)	**18,577,561**	18,902,762	15,634,498	15,558,082	13,198,537
Replacement cost associated with all derivatives transactions (where applicable net of eligible cash variation margin and/or with bilateral netting) - (a)	**2,083,499**	2,193,413	2,592,505	2,663,000	1,668,275
Add-on amounts for PFE associated with all derivatives transactions - (b)	**8,816,490**	8,522,482	6,358,377	5,927,552	5,448,654
CCR exposure for derivatives transactions[(1.4 times (a) + (b)] = (c)	**15,259,984**	15,002,252	12,531,234	12,026,773	9,963,700
Gross-up for derivatives collateral provided where deducted from the balance sheet assets pursuant to the operative accounting framework	**-**	-	-	-	-
Adjusted effective notional amount of written credit derivatives - (d)	**3,317,576**	3,900,511	3,103,263	3,531,309	3,234,837
Deductions of receivables assets for cash variation margin provided in derivatives transactions	**-**	-	-	-	-
Exempted CCP leg of client-cleared trade exposures	**-**	-	-	-	-
Adjusted effective notional offsets and add-on deductions for written credit derivatives	**-**	-	-	-	-
Securities financing transaction exposures	**-**				
Gross SFT *assets* (with no recognition of netting), after adjusting for sale accounting transactions	**-**	-	-	-	-
CCR exposure for SFT assets	**-**	-	-	-	-
Agent transaction exposures	**-**	-	-	-	-
Netted amounts of cash payables and cash receivables of gross SFT assets	**-**	-	-	-	-
Other off-balance sheet exposures	**80,053,688**	84,775,067	67,268,594	69,617,012	68,015,142
Other off-balance sheet exposure at gross notional amount	**165,348,403**	168,905,099	156,829,636	155,880,525	157,609,982
Reduction in exposure due to conversion to credit equivalent amounts	**(85,294,715)**	(84,130,032)	(89,561,042)	(86,263,513)	(89,594,840)
Capital and total exposures					
Tier 1 capital	**62,781,814**	65,180,692	62,624,523	60,885,954	59,357,173
Total exposures	**717,310,154**	706,532,289	657,496,885	647,431,117	620,191,117
Leverage ratio	**8.75%**	9.23%	9.52%	9.40%	9.57%

12. Liquidity and funding risk

Liquidity risk is the risk that the Group will be unable to meet its payment obligations associated with its financial liabilities when they fall due and to replenish funds when they are withdrawn. The Group's approach to managing liquidity is to ensure that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

12.1 Liquidity risk management process

The Group's Board of Directors (BOD) (via the BRC) approved liquidity risk appetite framework establishes the minimum liquidity required to survive a stress environment for a stipulated time horizon. The BOD has delegated to MEC the responsibility of liquidity management which is overseen on their behalf by ALCO on a day-to-day basis. ALCO monitors liquidity ratios and other indicators and regularly revises and calibrates the liquidity management policies to ensure that the Group is in a position to meet its obligations as they fall due. ALCO also ensures that the Bank remains compliant with all regulatory and internal policy guidelines pertaining to liquidity risk.

The Group's liquidity management process, as carried out within the Group and monitored by the Group's Treasury division, includes:

- Monitoring of liquidity position on a daily, weekly, and monthly basis. This entails forecasting of cash inflows/outflows and ensuring that the Group can meet the required outflows;
- Conducting regular liquidity stress testing of the Group's liquidity position under a variety of scenarios covering both normal and more severe market conditions with triggers and suggested actions;
- Ensuring compliance with the liquidity ratios such as Net Stable Funding Ratio (NSFR) and Liquidity Coverage Ratio (LCR) as stipulated by CBUAE and internally approved management triggers for liquidity risk;
- Conducting regular enterprise-wide liquidity stress test which estimates liquidity requirements under idiosyncratic and systemic stress conditions. The enterprise-wide stress test incorporates diverse liquidity triggers linked to the Bank's Early Warning Indicator (EWI) framework like currency de-peg, failure of a major local bank, credit rating downgrades as model inputs; and
- Monitoring of depositor concentration to ensure that the Group's deposit funding is well diversified.

Monitoring composition of funding sources at a granular level includes setting triggers for avoiding concentration of funding by product. Some of the ratios monitored are as follows:

- Euro commercial paper to total liabilities and equity
- Wholesale funds to total liabilities and equity
- Money market deposits to total liabilities and equity
- Core deposits to customer deposits
- Offshore funds to total liabilities and equity

The Group has established several early warning indicators for liquidity risk in line with the CBUAE requirements and monitors them regularly. Some of the key early warning indicators are as follows:

- Credit rating downgrade
- Widening credit-default-swap levels
- Rising retail/wholesale funding costs
- Qualitative/event driven factors

The Group also has an established liquidity/contingency funding plan which is routinely tested.

12.2 Tools for liquidity management

The Group through its Treasury division ensures that it has access to diverse sources of funding ranging from local customer deposits from its retail, corporate and institutional customers as well as international sovereign wealth funds and central banks to long term funding such as debt securities and subordinated liabilities issued under the global medium term note program.

Whilst the Group's debt securities and sub-debt typically are issued with maturities of greater than one year, deposits from banks and customers generally have shorter maturities which increases the liquidity risk of the Group. The Group's Treasury division manages this risk by:

- Diversification of funding sources and balancing between long term and short-term funding sources through borrowing under its global medium term notes issue programs;
- Monitoring the stickiness of liability portfolio and rewarding business units for sticky deposits through the fund transfer pricing process; and
- Investing in various short-term or medium term but highly marketable assets in line with Basel-III guidelines for High Quality Liquid Assets (HQLA) such as certificates of deposit with Central Bank, investment grade bonds that can be repurchased at short notices, etc.

The Bank has in place a contingent funding plan which lists out the trigger points to be monitored for invoking the contingent funding plan. The trigger points are based on market observable data points such as credit spreads and internal and external events such as decline in customer deposits and drying up of wholesale markets. The contingent funding plan clearly defines the roles and responsibilities and is updated with changing market conditions by ALCO.

12.3 Liquidity coverage ratio

We monitor the liquidity coverage ratio (LCR) in all significant currencies to manage any currency mismatch between high quality liquid assets (HQLA) and the net expected cash outflows in times of stress.

At 31 December 2024, the average Group LCR was 132.09 % which is 32.09% above minimum regulatory requirement of 100% (31 December 2023 - AED 137.50%).

The average Group LCR HQLA of AED 112bn (31 December 2023 - AED 105 bn) was held in a range of asset classes and currencies.

The Group and its entities actively manage liquidity and funding drivers within its balance sheet including derivatives and collateral management.

Currency mismatch in the LCR

The Group's internal liquidity and funding risk management framework requires us to monitor the LCR for material currencies. Limits are set to ensure that outflows can be met, given assumptions on stressed capacity in the foreign exchange swap markets. This continuous monitoring helps with the overall management of currency exposures, in line with our internal framework.

High-quality liquid assets

HQLA must be easily and immediately convertible into cash at little or no loss of value, especially during a period of stress. HQLA are assets that are of low risk and are unencumbered. Other characteristics of HQLA are ease and certainty of valuation, low correlation with risky assets, listing of the assets on a developed and recognized exchange, existence of an active and sizeable market for the assets and low volatility. Our HQLA predominantly consist of assets that qualify as Level 1 in the liquidity coverage ratio (LCR) framework, including cash, central bank reserves and government bonds.

The table below sets out the granular split of cash outflows and cash inflows, as well as the available HQLA on both an unweighted and weighted basis, which are used to derive the LCR. The LCR, HQLA and net outflows are based on the average over the preceding 12 months.

12.4 Net stable funding ratio

We use the NSFR or other appropriate metrics as a basis for ensuring that we raise sufficient stable funding to support our business activities. The NSFR is defined as the ratio between the amount of stable funding available and the amount of stable funding required. The average Group NSFR was 106.52% at 31 December 2024 (31 December 2023 - 104.97%).

12.5 Sources of funding

Our primary sources of funding are customer current accounts and savings term deposits payable on demand or at short notice. We issue secured and unsecured wholesale securities to supplement customer deposits, meet regulatory obligations and to change the currency mix, maturity profile or location of our liabilities.

12.6 Liquidity Coverage Ratio (LIQ1)

The LCR is designed to promote short-term resilience of 30 calendar day liquidity profile, by ensuring that banks have sufficient HQLA to meet potential outflows in a stressed environment.

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	31-Dec-24		30-Sep-24		30-Jun-24		31-Mar-24		31-Dec-23	
	Total unweighted value (90 days-average)	**Total weighted value (90 days-average)**	Total unweighted value (90 days-average)	Total weighted value (90 days-average)	Total unweighted value (90 days-average)	Total weighted value (90 days-average)	Total unweighted value (90 days-average)	Total weighted value (90 days-average)	Total unweighted value (90 days-average)	Total weighted value (90 days-average)
High-quality liquid assets										
Total HQLA	**122,492,152**	**112,391,069**	121,797,297	112,329,989	122,117,110	113,245,022	127,556,831	118,742,281	112,793,177	105,110,390
Cash outflows										
Retail deposits and deposits from small business customers, of which:										
Stable deposits	**81,375,581**	**4,068,779**	78,463,948	3,923,197	78,164,941	3,908,247	75,687,084	3,784,354	69,998,937	3,499,947
Less stable deposits	**48,335,437**	**1,357,520**	48,089,473	1,283,290	46,832,516	1,297,727	44,233,779	1,274,069	44,179,158	1,474,588
Unsecured wholesale funding, of which:										
Operational deposits (all counterparties) and deposits in networks of cooperative banks	**19,237,926**	**4,809,482**	19,233,809	4,808,452	18,876,900	4,719,225	19,334,672	4,833,668	19,032,181	4,758,045
Non-operational deposits (all counterparties)	**123,347,213**	**59,117,675**	115,908,364	55,044,124	110,265,429	53,099,618	109,753,012	52,050,873	103,125,572	49,978,055
Unsecured debt	**-**	**-**	-	-	-	-	-	-	-	-
Secured wholesale funding	**5,357,773**	**1,275,938**	6,767,042	2,053,231	6,542,474	2,319,771	5,241,361	4,011,784	2,399,593	1,341,621
Additional requirements, of which:			-	-	-	-	-	-	-	-
Outflows related to derivative exposures and other collateral requirements	**9,087,558**	**7,801,896**	10,153,016	8,882,723	8,197,130	6,921,784	9,889,008	8,620,848	7,099,269	5,819,450
Outflows related to loss of funding of debt products	**84,309**	**84,310**	34,952	34,953	50,537	50,537	15,886	15,887	42,530	42,530
Credit and liquidity facilities	**154,692,200**	**28,522,251**	146,914,432	26,316,042	142,968,483	25,491,555	144,368,922	26,545,947	141,964,829	24,947,089
Other contractual funding obligations	**-**	**-**	-	-	-	-	-	-	-	-
Total cash outflows	**441,517,997**	**107,037,849**	425,565,036	102,346,012	411,898,410	97,808,464	408,523,724	101,137,430	387,842,069	91,861,325
Cash inflows										
Secured lending (eg reverse repo)	**537,306**	**422,413**	510,853	481,928	421,092	363,578	825,130	738,029	85,387	48,815
Inflows from fully performing exposures	**14,179,519**	**11,356,243**	15,636,040	11,845,706	14,659,834	11,045,118	13,574,052	10,874,698	10,475,047	8,426,006
Other cash inflows	**10,072,073**	**10,072,073**	10,156,265	10,156,265	7,968,284	7,968,284	10,779,805	10,779,805	6,636,747	6,636,747
Total cash inflows	**24,788,898**	**21,850,729**	26,303,158	22,483,899	23,049,210	19,376,980	25,178,987	22,392,532	17,197,181	15,111,568

	Total adjusted value	Total adjusted value	Total adjusted value	Total adjusted value	Total adjusted value
Total HQLA	**112,391,069**	112,329,989	113,245,022	118,742,281	105,110,390
Total net cash outflows	**85,187,120**	79,862,114	78,431,483	78,744,897	76,749,756
Liquidity coverage ratio (%)	**132.09%**	140.73%	144.64%	150.88%	137.50%

12.7 Net Stable Funding Ratio (NSFR) (LIQ2)

31 December 2024 AED '000

	Unweighted value by residual maturity (90 days-average)			
	<6 months	6 months to <1 year	more than/equal to 1 year	Weighted value (90 days-average)
Available stable funding (ASF) item				
Capital:				
Regulatory capital before deduction	-	-	78,465,964	78,465,964
Other capital instruments	-	-	-	-
Retail deposits and deposits from small business customers:	-	-	-	-
Stable deposits	97,656,773	10,158,788	3,372,632	105,797,415
Less stable deposits	14,814,619	2,841,354	1,102,707	16,993,083
Wholesale funding:	-	-	-	-
Operational deposits	19,052,533	-	-	9,526,266
Other wholesale funding	248,772,050	66,484,783	51,687,582	178,076,765
Liabilities with matching interdependent assets	-	-	-	-
Other liabilities:	-	-	-	-
NSFR derivative liabilities (gross)	-	-	8,914,275	-
All other liabilities and equity not included in the above categories	1,790,303	750	425	2,313
Total ASF	382,086,278	79,485,675	143,543,585	388,861,806
Total NSFR high-quality liquid assets (HQLA)	68,117,307	13,492,571	77,931,271	26,050,479
Deposits held at other financial institutions for operational purposes	-	-	-	-
Performing loans and securities:	-	-	-	-
Performing loans to financial institutions secured by Level 1 HQLA	-	-	-	-
Performing loans to financial institutions secured by non-Level 1 HQLA and unsecured performing loans to financial institutions	38,703,446	10,502,141	7,117,418	18,174,005
Performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereign, central banks and PSEs, of which:	85,338,448	33,574,954	193,894,321	224,266,874
With a risk weight of less than or equal to 35% under the standardised approach for credit risk	-	-	6,937,202	4,509,181
Performing residential mortgages, of which:	-	-	-	-
With a risk weight of less than or equal to 35% under the standardised approach for credit risk	60	71	17,795,148	11,567,905
Securities that are not in default and do not qualify as HQLA, including exchange-traded equities	7,798,525	6,902,887	5,878,196	15,811,057
Assets with matching interdependent liabilities	-	-	-	-
Other assets:	-	-	-	-
Physical traded commodities, including gold	-	-	-	-
Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs	-	-	1,318,914	1,318,914
NSFR derivative assets	4,977,516	-	2,001,036	1,782,855
NSFR derivative liabilities before deduction of variation margin posted	8,914,275	-	-	-
All other assets not included in the above categories	7,669,561	-	38,106,072	45,775,632
Off-balance sheet items	151,393,193	-	-	17,250,919
Total RSF	372,912,331	64,472,624	350,979,577	366,507,821
Net Stable Funding Ratio (%)				106.52%

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	Unweighted value by residual maturity (90 days-average)			
	<6 months	6 months to <1 year	more than/equal to 1 year	Weighted value (90 days-average)
Available stable funding (ASF) item				
Capital:				
Regulatory capital before deduction	-	-	69,874,271	69,874,271
Other capital instruments	-	-	-	-
Retail deposits and deposits from small business customers:				
Stable deposits	83,261,996	8,668,891	2,799,645	90,133,988
Less stable deposits	16,658,936	1,593,732	1,427,387	17,854,788
Wholesale funding:				
Operational deposits	18,846,908	-	-	9,423,454
Other wholesale funding	189,722,175	72,042,582	46,422,261	148,499,683
Liabilities with matching interdependent assets	-	-	-	-
Other liabilities:				
NSFR derivative liabilities (gross)	-	-	9,197,459	-
All other liabilities and equity not included in the above categories	16,704,809	876	1,201	2,451
Total ASF	325,194,824	82,306,081	129,722,224	335,788,635
Total NSFR high-quality liquid assets (HQLA)	54,858,194	14,467,882	68,158,211	21,284,647
Deposits held at other financial institutions for operational purposes	-	-	-	-
Performing loans and securities:				
Performing loans to financial institutions secured by Level 1 HQLA	-	-	-	-
Performing loans to financial institutions secured by non-Level 1 HQLA and unsecured performing loans to financial institutions	28,869,210	12,536,600	6,788,620	17,387,301
Performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereign, central banks and PSEs, of which:	61,709,426	22,436,627	173,776,442	189,929,048
With a risk weight of less than or equal to 35% under the standardised approach for credit risk	-	-	6,696,518	4,352,737
Performing residential mortgages, of which:				
With a risk weight of less than or equal to 35% under the standardised approach for credit risk	11	14	14,127,945	9,184,396
Securities that are not in default and do not qualify as HQLA, including exchange-traded equities	9,392,040	4,844,113	4,633,976	14,311,202
Assets with matching interdependent liabilities	-	-	-	-
Other assets:				
Physical traded commodities, including gold	-	-	-	-
Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs	-	-	1,566,395	1,566,395
NSFR derivative assets	6,865,622	-	1,993,016	1,839,492
NSFR derivative liabilities before deduction of variation margin posted	9,197,459	-	-	-
All other assets not included in the above categories	7,782,362	-	36,583,378	44,365,739
Off-balance sheet items	139,591,816	-	-	15,650,857
Total RSF	318,266,140	54,285,236	314,324,501	319,871,814
Net Stable Funding Ratio (%)				104.97%

13. Credit risk

Credit risk is the risk that a customer or counterparty will default on its contractual obligations resulting in financial loss to the Group. The Group's main income generating activity is lending to customers and therefore credit risk is a principal risk. Credit risk mainly arises from loans and advances to customers and other banks (including related commitments to lend such as loan or credit card facilities), investments in debt securities and derivatives that are an asset position. The Group considers all elements of credit risk exposure such as counterparty default risk, geographical risk and sector risk for risk management purposes.

13.1 Credit Risk Management

The GCRO together with GCCO are responsible for managing the Group's credit risk by:

- Ensuring that the Group has appropriate credit risk practices, including an effective system of internal control, to consistently determine adequate allowances in accordance with the Group's stated policies and procedures, IFRS and relevant supervisory guidance.
- Identifying, assessing and measuring credit risk across the Group.
- Formulating credit policies to protect the Group against the identified risks including the requirements to obtain collateral from borrowers, to perform robust ongoing credit assessment of borrowers and to continually monitor exposures against internal risk limits.
- Limiting concentrations of exposure by type of asset, counterparties, industry, credit rating, geographic location, etc.
- Establishing a robust control framework regarding the authorisation structure for the approval and renewal of credit facilities.
- Developing and maintaining the Group's risk grading to categorise exposures according to the degree of risk of default. Risk grades are subject to regular reviews.
- Developing and maintaining the Group's processes for measuring ECL including monitoring of credit risk, incorporation of forward-looking information and the method used to measure ECL.
- Ensuring that the Group has policies and procedures in place to appropriately maintain and validate models used to assess and measure ECL.
- Establishing a sound credit risk assessment and measurement process that provides it with a strong basis for common systems, tools and data to assess credit risk and to account for ECL. Providing advice, guidance and specialist skills to business units to promote best practice throughout the Group in the management of credit risk.
- Managing the credit exposure relating to its trading activities by entering into master netting agreements and collateral arrangements with counterparties in appropriate circumstances and limiting the duration of exposure. In certain cases, the Group may also close out transactions or assign them to other counterparties to mitigate credit risk.

The Group wide credit policies and standards are approved by the BRC. These govern all delegated lending authorities and include policies, standards, metrics, strategies and procedures specific to each of the different business segments and are decided based on the macro-economic conditions, the risk appetite of the Group, market data and internal skill sets and capabilities. They are regularly reviewed and modified to ensure they stay current, relevant and protect the Group's interest in changing operating conditions. In addition to Group wide policies, there are underwriting standards set for each portfolio segment. The internal audit function performs regular audits making sure that the established controls and procedures are adequately designed and implemented.

13.2 Credit quality of assets (CR1)

Our credit risk is diversified across a number of asset classes and geographies with a credit quality profile mainly concentrated in the higher quality bands.

The IFRS 9 stages have the following characteristics:

- Stage 1: These financial assets are unimpaired and without a significant increase in credit risk. A 12-month allowance for ECL is recognised.

- Stage 2: A significant increase in credit risk has been experienced on these financial assets since initial recognition. A lifetime ECL is recognised.
- Stage 3: There is objective evidence of impairment and the financial assets are therefore considered to be in default or otherwise credit impaired. A lifetime ECL is recognised.
- Purchased or originated credit-impaired: Financial assets purchased or originated at a deep discount are seen to reflect incurred credit losses and a lifetime ECL is recognised. These exposures are included in stage 3 in the table below.

31 December 2024 **AED '000**

	Gross carrying values of		**Of which ECL accounting provisions for credit losses on SA exposures**			
	Defaulted exposures	**Non-defaulted exposures**	**Allowances/ Impairments**	**Allocated in regulatory category of Specific**	**Allocated in regulatory category of General**	**Net values**
Loans*	**9,636,729**	**350,835,724**	**9,834,149**	**5,200,311**	**4,633,838**	**350,638,304**
Debt securities**	**-**	**142,089,328**	**73,923**	**-**	**73,923**	**142,067,868**
Gross off-balance sheet exposures***	**3,511,770**	**174,598,373**	**573,920**	**444,949**	**128,971**	**178,110,143**
Total	**13,148,499**	**667,523,425**	**10,481,992**	**5,645,260**	**4,836,731**	**670,816,315**

31 December 2023 AED '000

	Gross carrying values of		Of which ECL accounting provisions for credit losses on SA exposures			
	Defaulted exposures	Non-defaulted exposures	Allowances/ Impairments	Allocated in regulatory category of Specific	Allocated in regulatory category of General	Net values
Loans**	11,069,014	298,364,489	10,688,842	5,293,686	5,395,156	298,744,661
Debt securities***	-	127,397,457	77,446	-	77,446	127,373,992
Gross off-balance sheet exposures****	194,803	166,454,538	524,036	75,684	448,352	166,649,340
Total	11,263,817	592,216,484	11,290,324	5,369,370	5,920,954	592,767,993

* The exposures stated here are net of interest in suspense (IIS)

** Bond securities are carried at fair value (FVOCI) as such the net value is not derived by deducting impairment from exposure. Amortised cost bonds net value is arrived by deducting impairment

*** (a) ECL on off-balance sheet is shown under other liabilities as such the net values are not arrived by deducting the impairment amount and (b) Post-CCF off-balance sheet exposures for the period ended 31 December, 2024 amounted to AED 94,107,557 thousand (31 December 2023 - AED 76,223,457 thousand)

13.3 Changes in stock of defaulted loans and debt securities (CR2)

31 December 2024	AED '000
Defaulted loans and debt securities as at 1 January 2024	**11,069,014**
Loans and debt securities that have defaulted since the last reporting period	**4,149,228**
Returned to non-default status	**(52,696)**
Amounts written off	**(1,760,893)**
Other changes	**(2,299,089)**
Defaulted loans and debt securities as at 30 June 2024	**11,105,565**
Loans and debt securities that have defaulted since the last reporting period	**(19,610)**
Returned to non-default status	**(26,797)**
Amounts written off	**(2,535,657)**
Other changes	**1,113,232**
Defaulted loans and debt securities as at 31 December 2024	**9,636,732**

31 December 2023	AED '000
Defaulted loans and debt securities as at 1 January 2023	14,908,026
Loans and debt securities that have defaulted since the last reporting period	2,540,667
Returned to non-default status	(38,845)
Amounts written off	(80,060)
Other changes	(2,740,227)
Defaulted loans and debt securities as at 30 June 2023	14,589,561
Loans and debt securities that have defaulted since the last reporting period	1,354,271
Returned to non-default status	(465,991)
Amounts written off	(4,876,662)
Other changes	467,835
Defaulted loans and debt securities as at 31 December 2023	11,069,014

13.4 Impairment analysis

13.4.1 Measurement of ECL

The key inputs used for measuring ECL are:

- probability of default (PD);
- loss given default (LGD); and
- exposure at default (EAD).

These figures are generally derived from internally developed statistical models and other historical data, and they are adjusted to reflect probability-weighted forward-looking information.

PD is an estimate of the likelihood of default over a given time horizon. It is estimated as at a point in time. The calculation is based on statistical rating models and assessed using rating tools tailored to the various categories of counterparties and exposures. These statistical models are based on market data (where available), as well as internal data comprising both quantitative and qualitative factors. PDs are estimated based on customer risk profile, adjusted to consider the future economic conditions that will impact PD.

LGD is an estimate of the loss arising on default. It is either based on Basel LGD for low default portfolio or on internal ADCB experience in terms of workout process and recovery data. The internal models take into consideration all the collected amounts, the time to recovery, the discount rate, the exposure at default and all direct and indirect costs. The seniority of the facility and the type of collateral are important criteria and are considered in the LGD calculation. For ECL calculation, the LGD are converted to point-in time to reflect the economic forecast in each scenario.

EAD is an estimate of the exposure at a future default date, considering expected changes in the exposure after the reporting date, including repayments of principal and interest and expected drawdowns on committed facilities. The Group's modelling approach for EAD reflects expected changes in the balance outstanding over the lifetime of the loan exposure that are permitted by the current contractual terms, such as amortisation profiles, early repayment or overpayment, changes in utilisation of undrawn commitments and credit mitigation actions taken before default. The Group uses EAD models that reflect the characteristics of the portfolios.

The Group measures ECL considering the risk of default over the maximum contractual period (including extension options) over which the entity is exposed to credit risk. However, for financial instruments such as credit cards, revolving credit facilities and overdraft facilities that include both a loan and an undrawn commitment component, the Group's contractual ability to demand repayment and cancel the undrawn commitment does not limit the Group's exposure to credit losses to the contractual notice period. For such financial instruments the Group measures ECL over the period that it is exposed to credit risk and ECL would not be mitigated by credit risk management actions, even if that period extends beyond the maximum contractual period. These financial instruments do not have a fixed term or repayment structure and have a short contractual cancellation period. However, the Group does not enforce in the normal day-to-day management the contractual right to cancel these financial instruments. This is because these financial instruments are managed on a collective basis and are cancelled only when the Group becomes aware of an increase in credit risk at the facility level.

The ECL calculation for accounting purposes is different to the provision calculation for regulatory purposes, although many inputs used are similar. The Group has ensured that the appropriate methodology is used when calculating ECL for both accounting and regulatory purposes.

The Central Bank of United Arab Emirates issued the new credit risk management standards (CRMS) on 17th October 2024 and became effective from 1 December 2024 after publication in the official gazette. The new standards repeal the earlier circular no 28/2010, clarifications and guidelines manuals regarding "Regulations for classification of loans and their provisions" and notice no 130/2016 regarding "Write off of fully provisioned non-performing loans" and notice no 458/2018 regarding "Final guidance note on IFRS 9" and any related guidance and amendments. There are significant changes to the definition of "Significant increase in credit risk" (SICR) incorporating qualitative factors, and judgement along with quantitative factors, plus the introduction of a range of new criteria for "unlikeliness to pay" (UTP) which will impact the staging of our credit risk exposures. One of the most significant changes in the regulations relate to principles and process of assessing loan loss provisions. The standards require us to implement a proactive and forward-looking process. The Bank holds adequate provisions against these new requirements and will continue to assess the adequacy on an ongoing basis.

13.4.2 Impaired loans by geography and economic sector

The Banks's Risk function monitors the portfolio through system- generated MIS and periodic reviews giving due consideration to industry and general economic trends, market feedback and media reports. Movement of the individual and collective impairment allowance on credit risk exposure were as follows:

Impaired loans by geography

AED '000

	Impaired exposures (gross of interest in suspense & individual impairment)	Impairment allowance		Interest in suspense	Total impaired exposures (net of interest in suspense & individual impairment)
	90 days and above/ Stage 3 and POCI	Individual*	Collective**		
31 December 2024					
Domestic (UAE)	**14,983,287**	**5,348,146**	**-**	**2,271,768**	**7,363,373**
Other GCC countries	**183,320**	**30,544**	**-**	**71,550**	**81,226**
Asia	**273**	**55**	**-**	**63**	**155**
Europe	**10,075**	**8,198**	**-**	**103**	**1,774**
Rest of the w orld	**341,421**	**266,663**	**-**	**13,387**	**61,371**
Total	**15,518,376**	**5,653,606**	**4,956,220**	**2,356,871**	**7,507,899**
31 December 2023					
Domestic (UAE)	13,187,697	5,070,010	-	2,373,404	5,744,283
Other GCC countries	244,307	120,080	-	52,603	71,624
Asia	88	30	-	58	-
Europe	10,056	8,206	-	49	1,801
Rest of the w orld	277,173	179,480	-	110	97,583
Total	13,719,321	5,377,806	6,056,184	2,426,224	5,915,291

*Stage 3 and POCI expected credit losses (ECL)

**Stage 1and 2 expected credit losses (ECL) and includes impairment allowance on banks, central bank balances, investments, other assets, letter of credit, guarantees and other commitments

Impaired loans by economic sector

AED '000

	Impaired exposures (gross of interest in suspense & individual impairment)	Impairment allowance		Interest in suspense	Total impaired exposures (net of interest in suspense & individual impairment)
	90 days and above/ Stage 3 and POCI	Individual*	Collective**		
31 December 2024					
Agriculture	**16,836**	**15,059**	**-**	**280**	**1,497**
Energy	**145,000**	**18,876**	**-**	**1,623**	**124,501**
Trading	**222,890**	**76,579**	**-**	**11,335**	**134,976**
Real estate	**10,297,904**	**4,054,963**	**-**	**1,212,839**	**5,030,102**
Hospitality	**2,426,851**	**551,389**	**-**	**303,366**	**1,572,096**
Transport	**16,384**	**13,091**	**-**	**2,001**	**1,292**
Personal	**1,784,336**	**747,207**	**-**	**558,990**	**478,139**
Government & PSE	**-**	**-**	**-**	**-**	**-**
Financial institutions	**406,083**	**38,175**	**-**	**249,781**	**118,127**
Manufacturing	**130,434**	**98,716**	**-**	**6,385**	**25,333**
Services	**67,618**	**35,959**	**-**	**9,917**	**21,742**
Others	**4,040**	**3,592**	**-**	**354**	**94**
Total	**15,518,376**	**5,653,606**	**4,956,220**	**2,356,871**	**7,507,899**
31 December 2023					
Agriculture	142,535	51,488	-	388	90,659
Energy	163	92	-	71	-
Trading	76,434	41,383	-	8,193	26,858
Real estate	7,501,547	3,158,163	-	1,257,489	3,085,895
Hospitality	2,213,355	663,844	-	160,706	1,388,805
Transport	248,496	65,593	-	16,512	166,391
Personal	2,438,298	1,082,490	-	634,457	721,351
Government & PSE	-	-	-	-	-
Financial institutions	555,276	91,444	-	298,708	165,124
Manufacturing	464,817	181,756	-	39,631	243,430
Services	74,131	37,788	-	9,812	26,531
Others	4,269	3,765	-	257	247
Total	13,719,321	5,377,806	6,056,184	2,426,224	5,915,291

*Stage 3 and POCI expected credit losses (ECL)

**Stage 1and 2 expected credit losses (ECL) and includes impairment allowance on banks, central bank balances, investments, other assets, letter of credit, guarantees and other commitments

13.5 Standardised approach - exposures by asset classes and risk weights (CR5)

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	Risk weights									
Asset classes	**0%**	**20%**	**35%**	**50%**	**75%**	**85%**	**100%**	**150%**	**Others**	**Net exposure post-CCF, CRM and other adjustments***
Claims on sovereigns**	**122,336,381**	**33,867,528**	**-**	**9,520,406**	**-**	**-**	**20,413,004**	**-**	**-**	**186,137,318**
Claims on non-commercial public sector enterprises (PSEs)	**111,314**	**4,194,169**	**-**	**2,308,715**	**-**	**-**	**-**	**-**	**-**	**6,614,198**
Claims on multilateral development banks	**1,962,683**	**600,475**	**-**	**4,359,627**	**-**	**-**	**1,049,482**	**-**	**-**	**7,972,267**
Claims on financial institutions***	**-**	**19,116,683**	**-**	**50,801,058**	**-**	**-**	**28,744,456**	**390,556**	**295,930**	**99,348,683**
Claims on government-related entities (GREs)	**-**	**29,749,038**	**-**	**7,130,973**	**-**	**-**	**45,715,131**	**-**	**-**	**82,595,142**
Claims on Corporate	**-**	**4,375,061**	**-**	**6,313,595**	**-**	**4,121,967**	**115,804,290**	**2,913,404**	**-**	**133,528,318**
Claims included in the regulatory retail portfolio	**-**	**-**	**-**	**-**	**42,900,173**	**-**	**5,890,093**	**-**	**-**	**48,790,266**
Claims secured by residential property	**-**	**-**	**17,775,791**	**-**	**329,562**	**-**	**950,747**	**-**	**-**	**19,056,100**
Claims secured by commercial real estate	**-**	**-**	**-**	**-**	**-**	**-**	**38,452,810**	**-**	**-**	**38,452,810**
Past due loans	**-**	**-**	**-**	**-**	**-**	**-**	**3,459,642**	**1,381,052**	**-**	**4,840,695**
Other assets	**-**	**-**	**-**	**-**	**-**	**-**	**4,816,450**	**399,133**	**-**	**5,215,583**
Total	**124,410,378**	**91,902,955**	**17,775,791**	**80,434,374**	**43,229,735**	**4,121,967**	**265,296,105**	**5,084,145**	**295,930**	**632,551,380**

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	Risk weights									
Asset classes	0%	20%	35%	50%	75%	85%	100%	150%	Others	Net exposure post-CCF, CRM and other adjustments*
Claims on sovereigns**	97,763,803	30,289,699	-	8,081,505	-	-	22,961,772	-	-	159,096,779
Claims on non-commercial public sector enterprises (PSEs)	-	-	-	2,933,452	-	-	-	-	-	2,933,452
Claims on multilateral development banks	1,496,974	446,685	-	3,194,200	-	-	803,402	-	-	5,941,261
Claims on financial institutions***	-	12,406,214	-	35,616,970	-	-	23,959,641	95,984	726,947	72,805,756
Claims on government-related entities (GREs)	-	25,122,402	-	9,301,508	-	-	45,254,522	-	-	79,678,432
Claims on Corporate	-	3,847,810	-	7,463,340	-	3,359,254	104,095,002	1,042,912	-	119,808,318
Claims included in the regulatory retail portfolio	-	-	-	-	39,898,037	-	7,047,560	-	-	46,945,597
Claims secured by residential property	-	-	14,600,610	-	359,900	-	795,201	-	-	15,755,711
Claims secured by commercial real estate	-	-	-	-	-	-	44,130,963	-	-	44,130,963
Past due loans	-	-	-	-	-	-	4,212,827	1,574,397	-	5,787,224
Other assets	-	-	-	-	-	-	4,328,524	402,578	-	4,731,102
Total	99,260,777	72,112,810	14,600,610	66,590,975	40,257,937	3,359,254	257,589,414	3,115,871	726,947	557,614,595

* Excludes equity investments as they carry equity/residual risk

** UAE sovereign guarantees and exposures with internal rating that are comparable to external ratings of AA are included in claims on sovereigns

*** Claims on financial institutions include exposure to all credit institutions, investment firms and finance companies.

CCF – Credit conversion factor, CRM – Credit risk mitigants, SP - Specific provision and IIS - Interest in suspense

The above tables exclude securitisation exposures

13.6 Gross and net credit risk exposure by asset class — Standardised Approach

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Asset class	Gross exposure		EAD post CCF	EAD post CCF & CRM			CRWA
	On-balance sheet	Off-balance sheet (post CCF)	Gross exposure (on- & off- balance-sheet post CCF)	Exposure pre-CRM (net of specific provision and IIS)	Credit risk mitigation (CRM)*	Net exposure post-CCF, CRM and other adjustments	Credit risk–weighted assets
Claims on sovereigns**	190,519,780	2,952,061	193,471,842	193,471,841	18,276,684	186,137,318	31,946,712
Claims on non-commercial public sector enterprises (PSEs)	5,946,353	690,013	6,636,366	6,636,366	3,167,473	6,614,198	1,993,191
Claims on multilateral development banks	7,604,104	368,163	7,972,267	7,972,267	478,241	7,972,267	3,349,391
Claims on financial institutions***	90,500,388	24,310,876	114,811,264	114,803,262	23,179,556	99,348,683	58,565,992
Claims on government-related entities (GREs)	71,440,334	16,154,240	87,594,574	87,594,574	4,999,432	82,595,142	55,230,425
Claims on Corporate	108,138,781	48,059,741	156,198,522	155,898,796	22,370,479	133,528,318	127,709,878
Claims included in the regulatory retail portfolio	51,911,235	1,426,208	53,337,443	53,256,885	4,466,619	48,790,266	38,065,223
Claims secured by residential property	18,922,549	146,254	19,068,803	19,068,554	12,453	19,056,100	7,419,446
Claims secured by commercial real estate	39,551,861	-	39,551,861	39,543,188	1,090,379	38,452,810	38,452,810
Past due loans	11,653,694	-	11,653,694	4,877,344	36,649	4,840,695	5,531,221
Other assets	5,235,402	-	5,235,402	5,235,402	19,819	5,215,583	5,415,149
Total	601,424,480	94,107,557	695,532,037	688,358,479	78,097,783	632,551,380	373,679,437

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AED'000

Asset class	Gross exposure		EAD post CCF	EAD post CCF & CRM			CRWA
	On-balance sheet	Off-balance sheet (post CCF)	Gross exposure (on- & off- balance-sheet post CCF)	Exposure pre-CRM (net of specific provision and IIS)	Credit risk mitigation (CRM)*	Net exposure post-CCF, CRM and other adjustments	Credit risk–weighted assets
Claims on sovereigns**	160,992,161	594,055	161,586,216	161,586,216	11,073,085	159,096,779	33,060,464
Claims on non-commercial public sector enterprises (PSEs)	2,696,532	254,338	2,950,870	2,950,870	1,007,179	2,933,452	1,466,726
Claims on multilateral development banks	5,904,397	36,864	5,941,261	5,941,261	36,863	5,941,261	2,489,839
Claims on financial institutions***	68,261,036	16,713,002	84,974,038	84,974,033	12,580,549	72,805,756	44,422,422
Claims on government-related entities (GREs)	69,599,089	14,647,956	84,247,045	84,247,045	4,678,462	79,678,432	54,929,756
Claims on Corporate	94,368,468	41,692,243	136,060,711	136,048,966	16,241,960	119,808,318	113,015,968
Claims included in the regulatory retail portfolio	48,507,635	2,162,927	50,670,562	50,639,196	3,693,599	46,945,597	36,971,088
Claims secured by residential property	15,647,964	122,073	15,770,038	15,769,469	13,758	15,755,711	6,175,339
Claims secured by commercial real estate	45,521,649	-	45,521,649	45,521,474	1,390,510	44,130,963	44,130,963
Past due loans	13,547,378	-	13,547,378	5,787,208	-	5,787,224	6,574,422
Other assets	4,731,102	-	4,731,102	4,731,102	-	4,731,102	4,932,391
Total	529,777,412	76,223,457	606,000,869	598,196,840	50,715,965	557,614,595	348,169,378

* Eligible guarantees used to substitute credit risk weights are included in CRM.
** UAE sovereign guarantees and exposures with internal rating that are comparable to external ratings of AA are included in claims on sovereigns
*** Claims on financial institutions include exposure to all credit institutions, investment firms and finance companies.
EAD – Exposure at default, CCF – Credit conversion factor and CRM – Credit risk mitigants
The above tables exclude securitisation exposures

13.7 Gross and net credit risk exposure by externally rated/unrated — Standardised Approach

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	Gross exposure		EAD post CCF	EAD post CCF & CRM			CRWA
Asset class	**Rated**	**Unrated**	**Gross exposure (on- & off- balance-sheet post CCF)**	**Exposure pre-CRM (net of specific provision and IIS)**	**Credit risk mitigation (CRM)***	**Net exposure post-CCF, CRM and other adjustments**	**Credit risk–weighted assets**
Claims on sovereigns **	**171,092,867**	**22,378,975**	**193,471,842**	**193,471,841**	**18,276,684**	**186,137,318**	**31,946,712**
Claims on non-commercial public sector enterprises (PSEs)	**2,475,059**	**4,161,307**	**6,636,366**	**6,636,366**	**3,167,473**	**6,614,198**	**1,993,191**
Claims on multilateral development banks	**7,971,454**	**813**	**7,972,267**	**7,972,267**	**478,241**	**7,972,267**	**3,349,391**
Claims on financial institutions***	**78,539,533**	**36,271,731**	**114,811,264**	**114,803,262**	**23,179,556**	**99,348,683**	**58,565,992**
Claims on government-related entities (GREs)	**42,666,174**	**44,928,399**	**87,594,574**	**87,594,574**	**4,999,432**	**82,595,142**	**55,230,425**
Claims on Corporate	**37,968,733**	**118,229,789**	**156,198,522**	**155,898,796**	**22,370,479**	**133,528,318**	**127,709,878**
Claims included in the regulatory retail portfolio	**-**	**53,337,443**	**53,337,443**	**53,256,885**	**4,466,619**	**48,790,266**	**38,065,223**
Claims secured by residential property	**-**	**19,068,803**	**19,068,803**	**19,068,554**	**12,453**	**19,056,100**	**7,419,446**
Claims secured by commercial real estate	**-**	**39,551,861**	**39,551,861**	**39,543,188**	**1,090,379**	**38,452,810**	**38,452,810**
Past due loans	**-**	**11,653,694**	**11,653,694**	**4,877,344**	**36,649**	**4,840,695**	**5,531,221**
Other assets	**-**	**5,235,402**	**5,235,402**	**5,235,402**	**19,819**	**5,215,583**	**5,415,149**
Total	**340,713,820**	**354,818,217**	**695,532,037**	**688,358,479**	**78,097,783**	**632,551,380**	**373,679,437**

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	Gross exposure		EAD post CCF	EAD post CCF & CRM			CRWA
Asset class	Rated	Unrated	Gross exposure (on- & off- balance-sheet post CCF)	Exposure pre-CRM (net of specific provision and IIS)	Credit risk mitigation (CRM)*	Net exposure post-CCF, CRM and other adjustments	Credit risk–weighted assets
Claims on sovereigns **	149,179,012	12,407,204	161,586,216	161,586,216	11,073,085	159,096,779	33,060,464
Claims on non-commercial public sector enterprises (PSEs)	953,980	1,996,890	2,950,870	2,950,870	1,007,179	2,933,452	1,466,726
Claims on multilateral development banks	5,941,261	-	5,941,261	5,941,261	36,863	5,941,261	2,489,839
Claims on financial institutions***	63,738,038	21,236,000	84,974,038	84,974,033	12,580,549	72,805,756	44,422,422
Claims on government-related entities (GREs)	41,060,631	43,186,413	84,247,045	84,247,045	4,678,462	79,678,432	54,929,756
Claims on Corporate	27,961,271	108,099,440	136,060,711	136,048,966	16,241,960	119,808,318	113,015,968
Claims included in the regulatory retail portfolio	-	50,670,562	50,670,562	50,639,196	3,693,599	46,945,597	36,971,088
Claims secured by residential property	-	15,770,038	15,770,038	15,769,469	13,758	15,755,711	6,175,339
Claims secured by commercial real estate	-	45,521,649	45,521,649	45,521,474	1,390,510	44,130,963	44,130,963
Past due loans	-	13,547,378	13,547,378	5,787,208	-	5,787,224	6,574,422
Other assets	-	4,731,102	4,731,102	4,731,102	-	4,731,102	4,932,391
Total	288,834,193	317,166,676	606,000,869	598,196,840	50,715,965	557,614,595	348,169,378

* Eligible guarantees used to substitute credit risk weights are included in CRM.
** UAE sovereign guarantees and exposures with internal rating that are comparable to external ratings of AA are included in claims on sovereigns
*** Claims on financial institutions include exposure to all credit institutions, investment firms and finance companies.
EAD – Exposure at default, CCF – Credit conversion factor and CRM – Credit risk mitigants

The above tables exclude securitisation exposures

Use of external ratings

The standardised approach allows banks to use risk assessments prepared by External Credit Assessment Institutions (ECAI) to determine the risk weightings applied to rated counterparties. The Bank uses CBUAE-recognised ECAI risk assessments to determine the risk weight for certain counterparties according to the BIS defined exposure segments.

ADCB uses three CBUAE-recognised ECAI for this purpose: Moody's Investors Service, Standard & Poor's and Fitch Ratings. The mapping of external ratings to the standardised approach risk weights is determined by CBUAE (as published in Standards and Guidance for Capital Adequacy of Banks in the UAE dated December 2022).

13.8 Concentration risk

Concentrations of credit risk arise when several counterparties or exposures have comparable economic characteristics, are engaged in similar activities or operate in the same geographical areas or industry sectors so that their collective ability to meet contractual obligations is uniformly affected by changes in economic, political or other conditions.

We operate in several geographical markets with most of our exposures in UAE. We use several controls and measures to minimise undue concentration of exposure in our portfolios across economic sectors, countries and global businesses.

These include portfolio and counterparty limits, approval and review controls, and stress testing. The following tables present information on the concentration of exposures by geography, industry, currency and residual maturity.

13.8.1 Gross credit risk by currency

Currency risk

Foreign exchange risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates and arises from financial instruments denominated in a foreign currency. The Bank's functional currency is the UAE Dirham. The Board of Directors has set limits on delta notional positions by currency. Positions are closely monitored, and hedging strategies are used to ensure positions are maintained within established limits.

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	Loans	Investment securities	Other assets	Total funded	Commit-ments (post-CCF)	OTC derivatives	Other off-balance sheet exposures (post-CCF)	Total non-funded	Total
31 December 2024									
AED	**217,978,566**	**3,397,947**	**49,684,198**	**271,060,712**	**8,651,612**	**999,582**	**24,250,657**	**33,901,851**	**304,962,563**
USD	**133,318,881**	**123,520,347**	**56,889,950**	**313,729,178**	**9,816,295**	**10,572,456**	**31,344,816**	**51,733,567**	**365,462,745**
EUR	**-**	**9,435,199**	**2,727,917**	**12,163,116**	**-**	**356,263**	**2,083,061**	**2,439,324**	**14,602,440**
CHF	**-**	**-**	**42,485**	**42,485**	**-**	**-**	**31,789**	**31,789**	**74,274**
GBP	**-**	**76,661**	**869,999**	**946,660**	**403,333**	**125,861**	**19,963**	**549,157**	**1,495,817**
MYR	**-**	**-**	**4,816**	**4,816**	**-**	**-**	**-**	**-**	**4,816**
Other	**5,291,786**	**5,659,173**	**5,482,779**	**16,433,738**	**-**	**707,579**	**4,744,289**	**5,451,868**	**21,885,606**
Less: Acceptances	**-**	**-**	**(12,956,224)**	**(12,956,224)**	**-**	**-**	**-**	**-**	**(12,956,224)**
Total	**356,589,233**	**142,089,327**	**102,745,920**	**601,424,480**	**18,871,240**	**12,761,741**	**62,474,576**	**94,107,557**	**695,532,037**
31 December 2023									
AED	199,742,475	2,028,468	47,776,113	249,547,056	10,006,065	642,526	19,907,006	30,555,597	280,102,653
USD	103,588,345	114,319,496	51,992,965	269,900,806	8,797,496	6,548,577	22,856,941	38,203,014	308,103,820
EUR	849,595	4,045,329	745,987	5,640,911	-	368,098	2,008,680	2,376,778	8,017,689
CHF	-	-	61,923	61,923	-	-	33,159	33,159	95,082
GBP	11	419	244,306	244,736	98,106	269,530	17,010	384,646	629,382
MYR	-	-	4,816	4,816	-	-	-	-	4,816
Other	5,647,268	7,003,745	4,928,916	17,579,929	297,852	1,210,627	3,161,784	4,670,263	22,250,192
Less: Acceptances	-	-	(13,202,764)	(13,202,764)	-	-	-	-	(13,202,764)
Total	309,827,694	127,397,457	92,552,261	529,777,412	19,199,518	9,039,358	47,984,580	76,223,457	606,000,869

13.8.2 Gross credit risk by geography

AED'000

	Loans	Investment securities	Other assets	Total funded	Commit-ments (post-CCF)	OTC derivatives	Other off-balance sheet exposures (post-CCF)	Total non-funded	Total
31 December 2024									
Domestic (UAE)	**283,997,162**	**46,578,478**	**56,877,060**	**387,452,700**	**15,392,259**	**6,028,123**	**38,279,660**	**59,700,042**	**447,152,742**
Other GCC countries	**18,543,394**	**28,599,270**	**11,334,882**	**58,477,546**	**1,838,738**	**618,650**	**1,211,860**	**3,669,248**	**62,146,794**
Asia	**13,743,368**	**27,274,998**	**14,963,246**	**55,981,612**	**277,722**	**92,071**	**10,247,678**	**10,617,471**	**66,599,084**
Europe	**15,564,209**	**15,391,214**	**16,786,874**	**47,742,297**	**1,242,508**	**5,027,823**	**6,493,683**	**12,764,014**	**60,506,311**
USA	**352,799**	**13,299,442**	**1,146,871**	**14,799,112**	**36,868**	**87,454**	**755,247**	**879,569**	**15,678,681**
Rest of the world	**24,388,300**	**10,945,925**	**14,593,211**	**49,927,436**	**83,146**	**907,619**	**5,486,447**	**6,477,213**	**56,404,649**
Less: Acceptances	**-**	**-**	**(12,956,224)**	**(12,956,224)**	**-**	**-**	**-**	**-**	**(12,956,224)**
Total	**356,589,233**	**142,089,327**	**102,745,920**	**601,424,480**	**18,871,240**	**12,761,741**	**62,474,576**	**94,107,557**	**695,532,037**
31 December 2023									
Domestic (UAE)	251,139,352	41,352,437	55,588,084	348,079,874	15,298,489	5,559,759	32,570,982	53,429,230	401,509,104
Other GCC countries	13,495,891	27,331,009	8,721,465	49,548,365	1,988,105	225,843	1,578,109	3,792,057	53,340,421
Asia	9,222,701	27,607,774	14,448,398	51,278,873	263,665	11,231	5,904,699	6,179,595	57,458,468
Europe	11,307,650	8,464,776	12,143,072	31,915,498	954,487	3,216,324	6,183,904	10,354,715	42,270,213
USA	934,784	12,974,192	3,620,661	17,529,637	210,085	602	642,163	852,850	18,382,487
Rest of the world	23,727,316	9,667,269	11,233,345	44,627,930	484,688	25,599	1,104,724	1,615,010	46,242,941
Less: Acceptances	-	-	(13,202,764)	(13,202,764)	-	-	-	-	(13,202,764)
Total	309,827,694	127,397,457	92,552,261	529,777,412	19,199,518	9,039,358	47,984,580	76,223,457	606,000,869

13.8.3 Gross credit risk by residual maturity

AED'000

	Loans	Investment securities	Other assets	Total funded	Commit-ments (post-CCF)	OTC derivatives	Other off-balance sheet exposures (post-CCF)	Total non-funded	Total
31 December 2024									
Less than 3 months	**86,291,667**	**7,241,640**	**80,357,382**	**173,890,689**	**561,625**	**2,393,192**	**8,843,449**	**11,798,266**	**185,688,954**
3 months to less than 6 months	**12,607,457**	**7,682,925**	**13,663,239**	**33,953,621**	**1,029,364**	**1,134,181**	**7,814,333**	**9,977,878**	**43,931,499**
6 months to less than 1 year	**37,638,154**	**7,819,736**	**13,793,290**	**59,251,180**	**3,364,894**	**1,381,118**	**13,155,669**	**17,901,680**	**77,152,860**
1 year to 3 years	**50,403,344**	**40,987,825**	**5,438,299**	**96,829,468**	**3,809,470**	**3,433,438**	**26,716,540**	**33,959,447**	**130,788,916**
Over 3 years	**169,648,611**	**78,357,201**	**2,449,933**	**250,455,745**	**10,105,887**	**4,419,813**	**5,944,586**	**20,470,286**	**270,926,032**
Less: Acceptances	**-**	**-**	**(12,956,224)**	**(12,956,224)**	**-**	**-**	**-**	**-**	**(12,956,224)**
Total	**356,589,233**	**142,089,327**	**102,745,920**	**601,424,480**	**18,871,240**	**12,761,741**	**62,474,576**	**94,107,557**	**695,532,037**
Less than 3 months	65,599,828	6,793,923	68,328,792	140,722,543	796,622	1,114,134	7,234,687	9,145,443	149,867,986
3 months to less than 6 months	12,869,325	9,452,635	10,369,801	32,691,761	2,114,851	431,979	4,002,854	6,549,684	39,241,445
6 months to less than 1 year	25,360,818	8,060,846	17,294,462	50,716,126	2,522,569	895,531	6,861,942	10,280,042	60,996,168
1 year to 3 years	49,031,010	33,955,433	7,930,191	90,916,634	10,122,925	2,573,574	26,574,285	39,270,784	130,187,418
Over 3 years	156,966,713	69,134,620	1,831,779	227,933,112	3,642,551	4,024,140	3,310,812	10,977,504	238,910,616
Less: Acceptances	-	-	(13,202,764)	(13,202,764)	-	-	-	-	(13,202,764)
Total	309,827,694	127,397,457	92,552,261	529,777,412	19,199,518	9,039,358	47,984,580	76,223,457	606,000,869

13.8.4 Gross credit risk by economic sector

AED'000

	Loans	Investment securities	Other assets	Total funded	Commit-ments (post-CCF)	OTC derivatives	Other off-balance sheet exposures (post-CCF)	Total non-funded	Total
31 December 2024									
Agriculture	**219,228**	**-**	**-**	**219,228**	**-**	**-**	**1,724**	**1,724**	**220,952**
Energy	**14,122,024**	**2,155,596**	**-**	**16,277,620**	**1,941,627**	**113,994**	**706,925**	**2,762,547**	**19,040,167**
Trading	**28,791,108**	**767,821**	**-**	**29,558,929**	**1,275,052**	**556,414**	**10,273,884**	**12,105,350**	**41,664,278**
Real estate	**49,983,809**	**826,382**	**916,920**	**51,727,111**	**2,134,116**	**206,359**	**21,853,680**	**24,194,155**	**75,921,265**
Hospitality	**6,793,997**	**-**	**-**	**6,793,997**	**906**	**-**	**144,896**	**145,802**	**6,939,799**
Transport & communication	**8,577,207**	**545,858**	**-**	**9,123,065**	**24,613**	**514,367**	**513,882**	**1,052,862**	**10,175,927**
Personal	**76,556,730**	**-**	**652,319**	**77,209,049**	**583,088**	**63,280**	**908,374**	**1,554,741**	**78,763,790**
Government & PSEs	**98,939,014**	**121,417,637**	**46,223,736**	**266,580,387**	**9,439,363**	**3,399,714**	**6,957,208**	**19,796,284**	**286,376,671**
Financial institutions	**28,743,954**	**13,857,463**	**46,350,477**	**88,951,894**	**1,506,702**	**7,348,698**	**15,835,646**	**24,691,046**	**113,642,940**
Manufacturing	**13,435,428**	**1,638,958**	**-**	**15,074,386**	**924,986**	**116,815**	**2,395,038**	**3,436,839**	**18,511,225**
Services	**6,398,291**	**396,429**	**-**	**6,794,720**	**438,158**	**248,642**	**1,762,088**	**2,448,888**	**9,243,607**
Others	**21,671,572**	**483,184**	**21,558,692**	**43,713,448**	**602,630**	**193,458**	**1,121,231**	**1,917,320**	**45,630,767**
Add: Interest in suspense	**2,356,871**	**-**	**-**	**2,356,871**	**-**	**-**	**-**	**-**	**2,356,871**
Less: Acceptances	**-**	**-**	**(12,956,224)**	**(12,956,224)**	**-**	**-**	**-**	**-**	**(12,956,224)**
Total	**356,589,233**	**142,089,327**	**102,745,920**	**601,424,480**	**18,871,240**	**12,761,741**	**62,474,576**	**94,107,557**	**695,532,037**
31 December 2023									
Agriculture	324,830	-	-	324,830	377	-	4,568	4,945	329,775
Energy	15,673,956	2,187,430	-	17,861,386	1,200,672	42,761	831,601	2,075,034	19,936,420
Trading	23,013,233	562,766	-	23,575,999	1,352,248	80,705	5,437,553	6,870,506	30,446,505
Real estate	53,857,257	859,589	956,629	55,673,475	3,026,305	178,142	19,150,464	22,354,911	78,028,386
Hospitality	8,673,083	-	-	8,673,083	51	-	156,664	156,715	8,829,798
Transport & communication	5,800,687	553,534	-	6,354,221	20,977	50,783	528,633	600,393	6,954,615
Personal	64,202,156	-	428,548	64,630,704	500,704	767,753	985,274	2,253,731	66,884,435
Government & PSEs	78,795,035	108,586,196	45,375,731	232,756,962	6,799,626	2,160,258	6,554,043	15,513,927	248,270,889
Financial institutions	23,230,105	12,240,861	37,750,371	73,221,337	1,277,338	5,423,011	10,073,652	16,774,001	89,995,338
Manufacturing	10,720,125	1,401,821	-	12,121,946	1,054,799	148,888	2,472,219	3,675,905	15,797,851
Services	5,698,024	384,911	-	6,082,935	426,173	17,088	1,122,143	1,565,404	7,648,339
Others	17,412,979	620,349	21,243,746	39,277,074	3,540,248	169,969	667,766	4,377,985	43,655,058
Add: Interest in suspense	2,426,224	-	-	2,426,224	-	-	-	-	2,426,224
Less: Acceptances	-	-	(13,202,764)	(13,202,764)	-	-	-	-	(13,202,764)
Total	309,827,694	127,397,457	92,552,261	529,777,412	19,199,518	9,039,358	47,984,580	76,223,457	606,000,869

13.9 Credit risk measurement and mitigation policies

ADCB's approach to granting credit facilities is based on capacity to repay, rather than placing primary reliance on credit risk mitigants. Depending on a customer's standing and the type of product, facilities may be provided unsecured. Mitigation of credit risk is a key aspect of effective risk management and takes many forms. Our general policy is to promote the use of credit risk mitigation, justified by commercial prudence and capital efficiency. Detailed policies cover the acceptability, structuring and terms relating to the availability of credit risk mitigation such as in the form of collateral security. These policies, together with the setting of suitable valuation parameters, are subject to regular review to ensure that they are supported by empirical evidence and continue to fulfil their intended purpose.

Loans and advances and commitments to customers, investment in bonds and derivatives are the main sources of credit risk for the Bank. The Bank's risk management policies and processes are designed to identify, analyse and measure risk, to set appropriate risk appetite, limits and controls, and to monitor the risks and adherence to limits by means of reliable and timely data review. The Bank assesses the probability of default of each counterparty using internal rating tools tailored for various categories of counterparties. Exposure to credit risk is also managed through regular analysis of the ability of borrowers and potential borrowers to meet interest and capital repayment obligations and by changing these lending limits or taking pre-emptive action through additional collateral/margin calls, structural enhancements etc., where appropriate.

The Bank's Credit Risk Management Group has policies and procedures in place setting out the circumstances where acceptable and appropriate collateral is to be secured to mitigate credit risk, including valuation parameters, review frequency and independence of valuation. The acceptable collateral types are set out in the credit policy of the Bank, which is approved by the BRC. The type, liquidity and realisation costs on collateral held are key determinants of the LGD percentage that is assigned to a credit risk exposure. The Bank primarily has the following categories of collateral:

Loans and advances

Real estate collateral — The Bank accepts real estate collateral (residential, commercial and mixed use) to either back corporate exposures or as income-producing real estate as the repayment source for the facility. Both of these segments are treated separately and governed by separate policies. In all cases, real estate collaterals are subject to regular re-evaluation by Bank-approved valuers and mortgage registration with the appropriate regulatory authorities. In lending new facilities, the Bank has a policy to obtain multiple valuations (based on the facility size) to ensure conservatism in determining Loan to Value (LTV) ratio. As at 31 December 2024, the Bank had total mortgage collateral of AED 135,898 mn (includes assignment over lease-hold properties and selected secondary mortgages of AED 4,427 mn) (2023: AED 134,235 mn) almost all of it is in the UAE and over 50% in Abu Dhabi with the rest across other Emirates.

Financial instruments collateral — only publicly listed company shares are accepted as collateral for corporate and high-net-worth individual facilities. There is a process to evaluate mark to market on a daily basis and this affects the drawing power against these facilities. All share and bond collaterals are pledged either at the market or at the broker level. These would also include a small amount of mutual funds. As at 31 December 2024, the Bank had total share collateral of AED 85,706 mn (2023: AED 55,678 mn), predominantly listed on the Abu Dhabi Stock Exchange.

Cash collateral — The Bank also takes cash collateral primarily from commercial banking and mid-corporate customers and as trade margins for trade finance transactions. As at 31 December 2024, the Bank had AED 37,276 mn in cash and near-cash collaterals (2023: AED 34,210 mn).

Guarantees from highly rated banks, corporate and government entities — In addition to collaterals, the Bank regularly accepts guarantees from highly rated corporates, banks and government entities and transfers the risk of the exposure to the better-rated entities. Almost all company loans have corporate guarantee of the parent. Most of our guarantees are executed using the Bank's standard legal documentation to ensure they are unconditional guarantees to qualify as credit risk mitigants. As at 31 December 2024, the guarantee accepted by the Bank amounted to AED 22,291 mn (2023: AED 10,134 mn).

Charge over company's assets, including stock debtors and work in progress — The Bank regularly obtains the company's assets inventory and stock debtors as collateral whilst extending working capital facilities to them.

Charge over assets being financed (e.g. vehicles, equipment) — for asset-backed financing, the asset being financed is usually secured as a collateral. The total value of such collateral was AED 30,013 mn as at 31 December 2024 (2023: AED 22,762 mn).

Master netting arrangements

The Group further restricts its exposure to credit losses by entering into master netting arrangements with counterparties with which it undertakes a significant volume of transactions. Master netting arrangements do not generally result in an offset of statement of financial position assets and liabilities, as transactions are usually settled on a gross basis, hence the impact of netting in practice is immaterial. However, the credit risk associated with favourable contracts is reduced by a master netting arrangement to the extent that if a default occurs, all amounts with the counterparty are terminated and settled on a net basis. The Group's overall exposure to credit risk on derivative instruments subject to master netting arrangements can change substantially within a year, as it is affected by each transaction subject to the arrangement.

Derivative related credit risk

Credit risk in respect of derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive fair value of instruments that are favourable to the Group. The Group enters into derivative contracts with financial institutions and corporates which are of satisfactory credit standing as per the Group's independent credit assessment. Credit risk in derivatives is mitigated through limit control and master netting arrangements.

Off-balance sheet

The Group applies the same risk management policies for off-balance sheet risks as it does for its on-balance sheet risks with the exception that the worst staging for off-balance sheet exposures is stage 2. In the case of commitments to lend, customers and counterparties will be subject to the same credit management policies as for loans and advances. Collateral may be sought depending on the strength of the counterparty and the nature of the transaction.

Treasury products

The Bank has counterparty limits in place to mitigate its credit exposure for Treasury products and in the process enters into master netting arrangements with counterparties with which it undertakes a significant volume of transactions. Counterparty risk is reduced by a master netting arrangement to the extent that if an event of default occurs, all amounts with the counterparty are terminated and settled on a net basis. The Bank mitigates its counterparty credit risk exposure from dealing in global markets products through the use of Credit Support Annexes (CSAs). CSAs require the counterparty (or the Group) to post collateral when mark-to-market positions exceed threshold and minimum transfer amounts. Most of our Treasury counterparties are covered by International Swaps and Derivatives Association (ISDA) and/or CSA agreements. There is a regular mark-to-market process and all valuation methodologies are approved by the Market Risk department. As at 31 December 2024, the Bank held AED 7,139 mn and posted AED 11,065 mn of collaterals (cash and bonds) for CSA/GMRA purposes.

Eligible collaterals

As per the standardised approach the following CRMs are considered eligible for capital calculation purposes:

- Netting — applicable only with legally enforceable netting agreements in place. However, to use this mitigant, the ability to systematically calculate net exposure must be demonstrated.
- Collateral — either the simple or comprehensive approaches may be applied. ADCB uses the comprehensive approach. For ADCB, collateral primarily includes share and cash collaterals.
- Guarantees and credit derivatives — these mitigants can be used provided they are direct, explicit, irrevocable and unconditional.

The Central Bank of the UAE must be satisfied that the Bank has suitable risk management tools in place to adopt the use of such mitigants.

13.10 Credit risk mitigation techniques – overview (CR3)

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	Exposures unsecured: carrying amount (net of IIS & provisions)	Exposures partially/fully secured carrying amount (net of IIS & provisions)	Exposures secured by collaterals	Exposures secured by financial guarantees
Loans	**286,222,384**	**64,415,921**	**44,231,556**	**20,184,365**
Debt securities	**141,772,499**	**295,369**	**-**	**295,369**
Total	**427,994,882**	**64,711,290**	**44,231,556**	**20,479,734**
Of which defaulted	**4,435,639**	**779**	**-**	**779**

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	Exposures unsecured: carrying amount (net of IIS & provisions)	Exposures partially/fully secured carrying amount (net of IIS & provisions)	Exposures secured by collaterals	Exposures secured by financial guarantees
Loans	260,597,853	38,146,808	28,650,073	9,496,735
Debt securities	126,986,719	387,273	-	387,273
Total	387,584,572	38,534,081	28,650,073	9,884,008
Of which defaulted	5,774,910	400	-	400

*The above table is prepared based on Basel eligible collaterals. Total collateral value is significantly higher and is detailed in section 13.9 of this report

13.11 Standardised approach - credit risk exposure and Credit Risk Mitigation (CRM) effects (CR4)

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	Exposures pre-CCF and before adjusting SP & IIS* and CRM		Exposures post-CCF and net of SP, IIS and CRM		RWA and RWA density	
Asset classes	**On-balance sheet amount****	**Off-balance sheet amount**	**On-balance sheet amount**	**Off-balance sheet amount**	**RWA**	**RWA density**
Claims on sovereigns***	**190,519,780**	**6,149,469**	**183,188,208**	**2,949,110**	**31,946,712**	**17.16%**
Claims on non-commercial public sector enterprises (PSEs)	**5,946,353**	**1,267,749**	**5,924,337**	**689,861**	**1,993,191**	**30.14%**
Claims on multilateral development banks	**7,604,104**	**368,213**	**7,604,104**	**368,163**	**3,349,391**	**42.01%**
Claims on financial institutions****	**90,500,388**	**37,883,303**	**77,306,258**	**22,042,426**	**58,565,992**	**58.95%**
Claims on government-related entities (GREs)	**71,440,334**	**27,277,847**	**68,288,031**	**14,307,111**	**55,230,425**	**66.87%**
Claims on Corporate	**108,138,781**	**89,931,069**	**92,358,667**	**41,169,650**	**127,709,878**	**95.64%**
Claims included in the regulatory retail portfolio	**51,911,235**	**14,939,985**	**47,930,203**	**860,063**	**38,065,223**	**78.02%**
Claims secured by residential property	**18,922,549**	**292,508**	**18,909,846**	**146,254**	**7,419,446**	**38.93%**
Claims secured by commercial real estate	**39,551,861**	**-**	**38,452,810**	**-**	**38,452,810**	**100.00%**
Past due loans	**11,653,694**	**-**	**4,840,695**	**-**	**5,531,221**	**114.27%**
Other assets	**5,235,402**	**-**	**5,215,583**	**-**	**5,415,149**	**103.83%**
Total	**601,424,480**	**178,110,143**	**550,018,741**	**82,532,639**	**373,679,437**	

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	Exposures pre-CCF and before adjusting SP & IIS* and CRM		Exposures post-CCF and net of SP, IIS and CRM		RWA and RWA density	
Asset classes	On-balance sheet amount**	Off-balance sheet amount	On-balance sheet amount	Off-balance sheet amount	RWA	RWA density
Claims on sovereigns***	160,992,161	2,107,670	158,504,589	592,190	33,060,464	20.8%
Claims on non-commercial public sector enterprises (PSEs)	2,696,532	303,266	2,679,266	254,186	1,466,726	50.0%
Claims on multilateral development banks	5,904,397	184,317	5,904,397	36,864	2,489,839	41.9%
Claims on financial institutions****	68,261,036	33,086,472	56,710,206	16,095,550	44,422,422	61.0%
Claims on government-related entities (GREs)	69,599,089	27,506,716	69,213,092	10,465,340	54,929,756	68.9%
Claims on Corporate	94,368,468	90,648,360	83,884,249	35,924,069	113,015,968	94.3%
Claims included in the regulatory retail portfolio	48,507,635	12,568,392	45,588,325	1,357,272	36,971,088	78.8%
Claims secured by residential property	15,647,964	244,146	15,633,638	122,073	6,175,339	39.2%
Claims secured by commercial real estate	45,521,649	-	44,130,963	-	44,130,963	100.0%
Past due loans	13,547,378	-	5,787,224	-	6,574,422	113.6%
Other assets	4,731,102	-	4,731,102	-	4,932,391	104.3%
Total	529,777,413	166,649,339	492,767,052	64,847,543	348,169,378	

* Includes SP & IIS amounting to AED 7,173,558 thousand as at 31December, 2024 (31December, 2023 - AED 7,804,030 thousand).

** Excludes equity investments as they carry equity/residual risk.

*** UAE sovereign guarantees and exposures with internal rating that are comparable to external ratings of AA are included in claims on sovereigns.

**** Claims on financial institutions include exposure to all credit institutions, investment firms and finance companies.

CCF – Credit conversion factor, CRM – Credit risk mitigants, SP - Specific provision and IIS - Interest in suspense

The above tables exclude securitisation exposures

14. Securitization

The Group has applied securitisation framework for determining regulatory capital requirements on certain exposures arising from specific revolving credit facilities (RCFs) to Special Purpose Vehicles (SPVs). Since securitisations may be structured in many ways, the capital treatment of the securitisation exposure has been determined on the basis of its economic substance rather than its legal form. The Group exposure is part of traditional securitisation structure where the cash flow from the underlying pool of exposures are used to service stratified risk positions / tranches reflecting different degrees of credit risk. Accordingly, the Group exposure is collateralized / protected by underlying loans of the SPV. The Group, on an ongoing basis, has a comprehensive understanding of the risk characteristics of its on-balance sheet securitisation exposures, as well as the risk characteristics and performance of the pool of loans underlying the securitisation exposures. The Group has a robust monitoring mechanism of all structural features of the securitisation transaction that may materially impact the performance of its exposures to the transaction, such as the contractual waterfall and waterfall related triggers, credit enhancements, liquidity enhancements, market value triggers, and deal-specific definitions of default.

The Group uses Securitisation – Standardised Approach (SEC-SA) to calculate its Standardised Approach (SA) capital charge for the securitisation exposure. Under SEC-SA, the primary factors that determine the risk weights include the asset class of the underlying loans, the seniority of the position, the level of credit enhancements, and historical delinquency rates. Irrespective of the approach being used to determine the risk weights, all exposures are assigned an internal risk rating based on the Bank's assessment, which is reviewed periodically. The capital charge calculated based on SEC-SA approach is subject to a floor risk weight of 15%.

14.1 Securitization carrying value of exposure in banking book (SEC1)

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	Bank acts as investor Traditional		
	On-balance sheet	Off-balance sheet *	Total
Retail (total) - of which	-	-	-
residential mortgage	-	-	-
credit card	-	-	-
other retail exposures	-	-	-
Re-securitisation	-	-	-
Wholesale (total) - of which	**3,042,025**	**189,130**	**3,231,155**
loans to corporates	**3,042,025**	**189,130**	**3,231,155**
commercial mortgages	**-**	**-**	**-**
lease and receivables	**-**	**-**	**-**
other wholesale	**-**	**-**	**-**
re-securitisation	**-**	**-**	**-**

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	Bank acts as investor Traditional		
	On-balance sheet	Off-balance sheet *	Total
Retail (total) - of which	-	-	-
residential mortgage	-	-	-
credit card	-	-	-
other retail exposures	-	-	-
Re-securitisation	-	-	-
Wholesale (total) - of which	2,032,033	66,131	2,098,164
loans to corporates	2,032,033	66,131	2,098,164
commercial mortgages	-	-	-
lease and receivables	-	-	-
other wholesale	-	-	-
re-securitisation	-	-	-

* After application of credit conversion factor

14.2 Securitization exposure associate capital requirements in banking book (SEC4)

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	Exposure values (by RW bands)			RWA (by regulatory approach)	Capital charge after cap
	>20% to 50% RW	>100% to <952% RW	SEC-SA	SEC-SA	SEC-SA
Traditional securitisation	**3,181,824**	**49,331**	**3,231,155**	**1,144,086**	**155,481**
Of which securitisation	-	-	-	-	-
Of which retail underlying	-	-	-	-	-
Of which STC	-	-	-	-	-
Of which wholesale	**3,181,824**	**49,331**	**3,231,155**	**1,144,086**	**155,481**

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	Exposure values (by RW bands)			RWA (by regulatory approach)	Capital charge after cap
	>20% to 50% RW	>100% to <952% RW	SEC-SA	SEC-SA	SEC-SA
Traditional securitisation	2,098,164	-	2,098,164	547,316	74,161
Of which securitisation	-	-	-	-	-
Of which retail underlying	-	-	-	-	-
Of which STC	-	-	-	-	-
Of which wholesale	2,098,164	-	2,098,164	547,316	74,161

15. Market Risk

The Group's activities expose it primarily to market risk which is defined as the risk that changes in market prices, such as interest rates, equity prices, foreign exchange rates, commodity prices and credit spreads (not relating to changes in the obligor's/issuer's credit standing) which will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

- Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.
- Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.
- Other price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer or by factors affecting all similar financial instruments traded in the market.

The Group separates its exposure to market risk between trading and banking book as defined below.

15.1 Market risk arising from trading book

Trading positions are held by the Treasury division and include positions arising from market making and proprietary position taking, together with financial assets and liabilities that are managed on a fair value basis. Realised and unrealised gains and losses on these positions are reported in consolidated income statement.

15.2 Market risk arising from banking book

Market risk from banking book arises from execution of the Group's core business strategies, products, and services to its customers, that invariably create interest rate risk and open currency positions that the Group endeavours to manage through strategic positions to mitigate the inherent risk caused by these positions.

Banking book includes all positions that are not held for trading such as but not limited to the Group's investments in instruments designated at FVTOCI and amortised cost, loans and advances carried at amortised cost, derivatives used for hedging and other financial assets held for long term.

These exposures can result from a variety of factors including but not limited to re-pricing of gaps in assets, liabilities and off-balance sheet instruments and changes in the level and shape of market interest rate curves.

15.3 Risk identification and classification

The RMC and BRC approves market risk policies for the Group. All business segments are responsible for the comprehensive identification and verification of market risks within their business units. Regular meetings are held between market risk management and heads of risk-taking businesses to discuss and decide on risk exposures in the context of the market environment.

15.4 Management of market risk

The Board of Directors (via the BRC) have set risk limits based on the Value-at Risk (VaR), Stressed Value at Risk (SVaR), Greeks, sensitivity/stress analysis and foreign exchange open position limits which are closely monitored by the risk management division and reported regularly to the senior management, ALCO and BRC.

Treasury, Market and Liquidity Risk is responsible for the independent second line oversight of Market risk. It is overseen by GCRO and BRC and performs the following primary functions:

- establishment of a comprehensive mark-to-market valuation policy framework;
- establishment of a comprehensive market risk policy framework;
- independent measurement, monitoring, and control of market risk;
- setting and monitoring of limits; and
- hedge effectiveness methodology.

15.5 Risk measurement

The following are the metrics used to measure the market risk, because no single measure can reflect all aspects of market risk. The Group uses various measurements, both statistical and non-statistical, including sensitivity analysis.

15.5.1 Statistical risk measures

The Group measures the risk of loss arising from future potential adverse movements in market rates, prices and volatilities using VaR methodology. The VaR that the Group measures is an estimate, using a confidence level of 99% of the potential loss that is not expected to be exceeded if the current market positions were to be held unchanged for one day. This confidence level suggests that potential daily losses in excess of the VaR measure are likely to be experienced, once every hundred days. The Board has set limits for the acceptable level of risks in managing the trading and banking book.

The Group uses simulation models to assess the possible changes in the market value of the trading and banking book based on historical data. VaR models are usually designed to measure the market risk in a normal market environment and therefore the use of VaR has limitations because it is based on historical correlations and volatilities in market prices and assumes that the future movements will follow a statistical distribution. It provides a measurement of losses that could be expected under a typical range of market conditions. Also VaR does not typically provide an indication of potential losses under periods of stressed conditions. To supplement this measurement, a “Stressed” VaR (SVaR) is calculated based upon assessing the VaR over a historical period of market stress.

15.5.2 Non-statistical risk measures

Non-statistical risk measures, other than stress/sensitivity testing, include independent market valuations to ensure that the Group’s valuations are correct and Risk Greeks to ensure that trading is within the risk appetite thresholds. These measures provide additional information of the Group’s exposures to non-linear risks.

15.5.3 Sensitivity analysis

To complement VaR, the Group also carries out stress tests/sensitivity analysis of its portfolio to assess potential risks that may arise from extreme market events that are severe but plausible. The results of the stress tests are reported to the Group’s ALCO and BRC.

15.6 Market risk capital requirement

Capital is allocated in respect of market risk under the frameworks set out in the Standards and Guidance issued by the Central Bank of UAE in December 2022. These standards/guidance articulates specific requirements for the calculation of the market risk capital requirement for banks in the UAE. It is based closely on requirements of the framework for capital adequacy developed by the Basel Committee on Banking Supervision (BCBS), specifically as articulated in Basel 2: International Convergence of Capital Measurement and Capital Standards, June 2006, and subsequent revisions and clarifications thereto.

The market risks subject to a capital charge are as follows:

- interest rate risk;
- foreign exchange risk;
- equity exposure risk;
- commodity risk; and
- options risk.

15.7 Capital requirement for market risk under standardised approach

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	31-Dec-24	31-Dec-23
Interest rate risk	**1,462,670**	1,418,718
Equity position risk	**10,159**	-
Foreign exchange risk	**612,294**	278,213
Commodity risk	**20,858**	**-**
Options risk	**136,666**	123,732
Total Capital Requirement	**2,242,647**	1,820,664

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	31-Dec-24		31-Dec-23	
	Risk-weighted assets	**Capital requirements**	Risk-weighted assets	Capital requirements
Interest rate risk — trading book				
Specific risk	**5,788,305**	**786,631**	5,164,908	699,845
General risk — maturity-based	**-**	**-**	-	-
General risk — duration-based	**4,974,535**	**676,039**	5,305,334	718,873
Foreign exchange risk	**4,505,471**	**612,294**	2,053,233	278,213
Equity exposure risk- trading book				
General risk	**37,377**	**5,080**	-	-
Specific risk	**37,377**	**5,080**	-	-
Commodity risk- trading book			-	-
Maturity Ladder Approach	**153,480**	**20,858**		
Simplified Approach	**-**	**-**		
Options risk				
Simplified approach	**-**	**-**	-	-
Intermediate approach	**1,005,638**	**136,666**	913,150	123,732
Total market risk capital charge	**16,502,183**	**2,242,647**	13,436,625	1,820,664

Note : Capital requirements calculated based on minimum CAR ratio (i.e 13.59% including regulatory buffers)

16. Counterparty credit risk

Counterparty credit risk (CCR) is the risk that the Group's exposure in a foreign exchange, interest rate, commodity, equity or credit derivative defaults prior to the maturity date of the contract and that the Group at the time has a claim on the counterparty.

CCR limits are set for individual counterparties, including central clearing counterparties. Individual limits are set on Potential Future Exposure (PFE).

The Group reduces its credit exposures to counterparties by entering into contractual netting agreements which result in a single amount owed by or to the counterparty. The amount is calculated by netting the mark-to-market (MTM) owed by the counterparty to the Group and the MTM owed by the Group to the counterparty on the transactions covered by the netting agreement. In line with the International Accounting Standard (IAS) 32 principles, the Group's balance sheet will present assets and liabilities on a net basis provided there is a legally enforceable right to set off assets and liabilities, and the Group intends to settle on a net basis or realise the asset and liability simultaneously.

The below table shows all types of collateral posted or received by banks to support or reduce the counterparty credit risk exposures related to derivative transactions or to securities financing transactions (SFTs), whether or not the transactions are cleared through a CCP and whether or not the collateral is posted to a CCP.

16.1 Composition of collateral for CCR exposure (CCR 5)

31 December 2024 **AED '000**

	Collateral used in derivative transactions				**Collateral used in SFTs**	
	Fair value of collateral received		**Fair value of posted collateral**			
	Segregated	**Unsegregated**	**Segregated**	**Unsegregated**	**Fair value of collateral received**	**Fair value of posted collateral**
Cash - domestic currency	-	-	-	-	-	-
Cash - other currencies	-	**6,179,559**	-	**4,735,551**	-	-
Domestic sovereign debt	-	-	-	**3,630**	-	-
Government agency debt	-	**870,303**	**1,378,749**	**4,024,835**	-	-
Other bonds	-	-	-	**375,759**	-	-
Corporate bonds	-	-	-	-	-	-
Equity securities	-	-	-	-	-	-
Other collateral	-	-	-	-	-	-
Total	-	**7,049,861**	**1,378,749**	**9,139,775**	-	-

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	Collateral used in derivative transactions				Collateral used in SFTs	
	Fair value of collateral received		Fair value of posted collateral			
	Segregated	Unsegregated	Segregated	Unsegregated	Fair value of collateral received	Fair value of posted collateral
Cash - domestic currency	-	-	-	-	-	-
Cash - other currencies	-	4,176,625	-	2,740,429	-	-
Domestic sovereign debt	-	-	-	7,033	-	-
Government agency debt	-	290,823	1,331,222	1,690,928	-	-
Other bonds	-	-	-	94,604	-	-
Corporate bonds	-	-	-	-	-	-
Equity securities	-	-	-	-	-	-
Other collateral	-	-	-	-	-	-
Total	-	4,467,448	1,331,222	4,532,994	-	-

16.2 Analysis of CCR exposure by approach (CCR1)

The following table specifies the methods used by the Bank to calculate counterparty credit risk regulatory requirements.

31 December 2024 **AED '000**

	Replacement cost	Potential future exposure	EEPE	Alpha used for computing regulatory EAD	EAD post-CRM	RWA
SA-CCR (for derivatives)	**1,566,757**	**7,548,772**	**-**	**1.40**	**12,761,740**	**7,804,190**
Internal Model Method (for derivatives and SFTs)	**-**	**-**	**-**	**-**	**-**	**-**
Simple Approach for credit risk mitigation (for SFTs)	**-**	**-**	**-**	**-**	**-**	**-**
Comprehensive Approach for credit risk mitigation (for SFTs)	**-**	**-**	**-**	**-**	**-**	**-**
VaR for SFTs	**-**	**-**	**-**	**-**	**-**	**-**
Total	**1,566,757**	**7,548,772**	**-**	**-**	**12,761,740**	**7,804,190**

31 December 2023 AED '000

	Replacement cost	Potential future exposure	EEPE	Alpha used for computing regulatory EAD	EAD post-CRM	RWA
SA-CCR (for derivatives)	1,740,089	4,716,595	-	1.40	9,039,358	6,094,077
Internal Model Method (for derivatives and SFTs)	-	-	-	-	-	-
Simple Approach for credit risk mitigation (for SFTs)	-	-	-	-	-	-
Comprehensive Approach for credit risk mitigation (for SFTs)	-	-	-	-	-	-
VaR for SFTs	-	-	-	-	-	-
Total	1,740,089	4,716,595	-	-	9,039,358	6,094,077

EEPE - Effective expected positive exposure

16.3 Credit valuation adjustment (CVA) capital charge (CCR2)

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	31-Dec-24		31-Dec-23	
	EAD post-CRM	**RWA**	EAD post-CRM	RWA
Total portfolios subject to the Advanced CVA capital charge:	**-**	**-**	-	-
(i) VaR component (including the 3x multiplier)	**-**	**-**	-	-
(ii) Stressed VaR component (including the 3x multiplier)	**-**	**-**	-	-
All portfolios subject to the Standardised CVA capital charge	**12,761,740**	**6,377,110**	9,039,358	7,718,899
Total subject to the CVA capital charge	**12,761,740**	**6,377,110**	9,039,358	7,718,899

16.4 Exposures to central counterparties (CCR8)

The following table demonstrates the risk-weighted exposure amounts to central counterparties by derivative types.

31 December 2024		AED '000
	EAD (post-CRM)	**RWA**
Exposures to QCCPs (total)		
Exposures for trades at QCCPs (excluding initial margin and default fund contribution); of which:		
(i) OTC derivatives	**271,253**	**10,850**
(ii) Exchange-traded derivatives	**24,678**	**987**
(iii) Securities financing transactions	**-**	**-**
(iv) Netting sets where cross-product netting has been approved	**-**	**-**
Segregated initial margin	**1,378,749**	**-**
Non-segregated initial margin	**-**	**-**
Pre-funded default fund contributions	**-**	**-**
Unfunded default fund contributions	**-**	**-**
Exposures to non-QCCPs (total)	**-**	**-**
Exposures for trades at non-QCCPs (excluding initial margin and default fund contribution); of which:	**-**	**-**
(i) OTC derivatives	**-**	**-**
(ii) Exchange-traded derivatives	**-**	**-**
(iii) Securities financing transactions	**-**	**-**
(iv) Netting sets where cross-product netting has been approved	**-**	**-**
Segregated initial margin	**-**	**-**
Non-segregated initial margin	**-**	**-**
Pre-funded default fund contributions	**-**	**-**
Unfunded default fund contributions	**-**	**-**

31 December 2023		AED '000
	EAD (post-CRM)	RWA
Exposures to QCCPs (total)		
Exposures for trades at QCCPs (excluding initial margin and default fund contribution); of which:		
(i) OTC derivatives	726,947	29,078
(ii) Exchange-traded derivatives	-	-
(iii) Securities financing transactions	-	-
(iv) Netting sets where cross-product netting has been approved	-	-
Segregated initial margin	1,331,222	-
Non-segregated initial margin	-	-
Pre-funded default fund contributions	-	-
Unfunded default fund contributions	-	-
Exposures to non-QCCPs (total)		
Exposures for trades at non-QCCPs (excluding initial margin and default fund contribution); of which:		
(i) OTC derivatives	-	-
(ii) Exchange-traded derivatives	-	-
(iii) Securities financing transactions	-	-
(iv) Netting sets where cross-product netting has been approved	-	-
Segregated initial margin	-	-
Non-segregated initial margin	-	-
Pre-funded default fund contributions	-	-
Unfunded default fund contributions	-	-

16.5 Credit derivatives exposures (CCR6)

The following table indicates the notional amounts of credit derivative transactions segregated between protection bought and sold within each product type.

31 December 2024		**AED '000**
	Protection bought	**Protection sold**
Notionals		
Single-name credit default swaps	**128,555**	**-**
Index credit default swaps	**-**	**-**
Total return swaps	**-**	**9,689,276**
Credit options	**-**	**-**
Other credit derivatives	**-**	**-**
Total notionals	**128,555**	**9,689,276**
Fair values		
Positive fair value (asset)	**-**	**343,078**
Negative fair value (liability)	**2,602**	**-**

31 December 2023		AED '000
	Protection bought	**Protection sold**
Notionals		
Single-name credit default swaps	-	-
Index credit default swaps	-	-
Total return swaps	-	7,802,540
Credit options	-	-
Other credit derivatives	-	-
Total notionals	-	7,802,540
Fair values		
Positive fair value (asset)	-	477,112
Negative fair value (liability)	-	-

16.6 Standardised approach - CCR exposures by regulatory portfolio and risk weights (CCR3)

Table below depicts EAD after the effect of collateral associated with each risk weight

31 December 2024 **AED '000**

	Risk weights							
	0%	**20%**	**50%**	**75%**	**100%**	**150%**	**Others**	**Total credit exposure**
Claims on sovereigns	**824,559**	**-**	**-**	**-**	**-**	**-**	**-**	**824,559**
Claims on non-commercial public sector enterprises (PSEs)	**-**	**-**	**161,034**	**-**	**-**	**-**	**-**	**161,034**
Claims on multilateral development banks	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Claims on financial institutions*	**-**	**2,118,480**	**3,846,638**	**-**	**1,087,648**	**-**	**295,930**	**7,348,697**
Claims on government-related entities (GREs)	**-**	**184,731**	**1,908**	**-**	**2,227,482**	**-**	**-**	**2,414,120**
Claims on Corporate	**-**	**-**	**19,837**	**-**	**1,791,834**	**53,401**	**67,227**	**1,932,299**
Claims included in the regulatory retail portfolio	**-**	**-**	**-**	**32,945**	**48,085**	**-**	**-**	**81,030**
Claims secured by residential property	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Claims secured by commercial real estate	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Past due loans	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Other assets	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Total	**824,559**	**2,303,211**	**4,029,417**	**32,945**	**5,155,048**	**53,401**	**363,157**	**12,761,740**

31 December 2023 AED '000

	Risk weights							
	0%	20%	50%	75%	100%	150%	Others	Total credit exposure
Claims on sovereigns	114,354	-	-	-	-	-	-	114,354
Claims on non-commercial public sector enterprises (PSEs)	-	-	247,029	-	-	-	-	247,029
Claims on multilateral development banks	-	-	-	-	-	-	-	-
Claims on financial institutions*	-	597,701	3,128,588	-	968,751	-	726,947	5,421,987
Claims on government-related entities (GREs)	-	8,620	182	-	1,790,073	-	-	1,798,875
Claims on Corporate	-	-	-	-	577,691	88,161	16,951	682,803
Claims included in the regulatory retail portfolio	-	-	-	6,555	767,753	-	-	774,308
Claims secured by residential property	-	-	-	-	-	-	-	-
Claims secured by commercial real estate	-	-	-	-	-	-	-	-
Past due loans	-	-	-	-	-	-	-	-
Other assets	-	-	-	-	-	-	-	-
Total	114,354	606,321	3,375,799	6,555	4,104,268	88,161	743,898	9,039,356

* Claims on financial institutions include exposure to all credit institutions, investment firms and finance companies.

17. Interest rate risk in the banking book (IRRBB)

Interest Rate Risk in the Banking Book (IRRBB) refers to the current or prospective risk to the Bank's capital and earnings arising from adverse movements in interest rates that affect the Bank's banking book positions. Excessive IRRBB can pose significant threat to a Bank's capital base and/or earnings if not managed prudently. Changes in interest rates affect the underlying economic value of the Bank's banking book assets, liabilities and off-balance sheet instruments by changing the present value of future cash flows. Changes in interest rates also affect Bank's earnings by increasing or decreasing its EaR (Earnings at Risk) / NII (Net Interest Income). The Bank manages IRRBB through both economic value and earnings-based measures. The three main sub-types of IRRBB are as follows:

- Gap Risk: arises from the term structure of banking book instruments and describes the risk arising from the timing of instruments' rate changes.
- Basis Risk: arises from financial instruments having similar tenors but are priced using different interest rate indices.
- Option Risk: arises from Bank's assets, liabilities and/or off-balance sheet items where the bank or its customers can alter the level and timing of their cash flows.

The Bank's IRRBB policy sets guidelines and framework to identify, measure, evaluate, monitor, report and control or mitigate material sources of IRRBB on a timely basis. IRRBB policy aims to define the risk governance framework and IRRBB risk tolerance limits.

IRRBB measures Economic Value of Equity (EVE) and Earnings at Risk (EaR) and are calculated, reported and monitored on a monthly basis against prescribed limits.

Roles and Responsibilities

Board: the overall responsibility for establishing, maintaining and overseeing a robust IRRBB risk governance framework lies with the Board. The Board may delegate monitoring and management of IRRBB to senior management committees or an asset and liability management committee (ALCO). Specifically, the Board's roles and responsibilities include:

- Understanding the nature and level of Bank's IRRBB exposure;
- Defining risk tolerance limits;
- Approve and Review Bank's IRRBB strategy, policy and process;
- Establishing adequate systems and standards for measuring IRRBB;
- Monitoring compliance with all internal policies and procedures and
- Delegating monitoring and management of IRRBB to competent senior management committees or ALCO.

ALCO: senior executives of the Bank constitute the Assets & Liability Committee. ALCO operates as the functional unit for monitoring and managing Bank's IRRBB exposure within the risk tolerance limits established by the Board and delegated management by the Management Executive Committee (MEC)

Treasury, Market and Liquidity Risk Management functions: responsible for policies, procedures and systems for monitoring and reporting to ensure that IRRBB exposures are aligned with the Board approved risk tolerance limits. Specifically, Market Risk team's roles and responsibilities include:

- Determination of appropriate stress scenarios;
- Review of methodologies, models for measurement of IRRBB;
- Recommend appropriate risk limits for IRRBB;
- Independently oversee calculation of IRRBB exposures and monitor against Board approved limits and
- Report IRRBB exposures both internally to the Board/ALCO and externally to the CBUAE in the prescribed format and frequency.

Internal Audit: Internal Audit function independently reviews controls and processes around IRRBB.

Treasury: the primary responsibility of the Treasury function is to undertake risk mitigation actions on Board's/ALCO's directive in case the Bank has excessive IRRBB exposure against prescribed risk tolerance limits. Treasury is also responsible for:

- Managing the Group IRRBB on a day-to-day basis within the parameters/limit/warning levels set by the ALCO
- Measure, review and monitor the overall Group's reported IRRBB regularly as reported to ALCO against approved limits
- Develop methodologies, models for measurement of IRRBB and
- Actively participating in the regular stress testing, including the review of results and recommending countermeasures to mitigate identified risks

Economic Value of Equity (EVE)

Measurement of Bank's IRRBB through economic value measures involves the steps below:

a) Interest rate sensitive banking book positions are allocated to one of the three categories i.e. amenable to standardization, less amenable to standardization and not amenable to standardization.

b) Determination of slotting of notional re-pricing cash flows based on the above categorization of banking book positions. Commercial margins are not included in the cash flows and discounting curves.

c) Determination of delta EVE for six Basel prescribed interest rate shock scenarios for each currency as shown below. Currencies where exposure is less than 5% of total banking book assets or liabilities need not have a separate delta EVE computation.
   (i) Parallel shock up;
   (ii) Parallel shock down;
   (iii) Steepener shock (short rates down and long rates up);
   (iv) Flattener shock (short rates up and long rates down);
   (v) Short rates shock up and
   (vi) Short rates shock down.

d) Add-ons for changes in the value of options are added to the delta EVE computed above.

Earnings at Risk (EaR)

Measurement of Bank's IRRBB through earnings-based measures is similar to economic value measures except that earnings-based measures are limited up-to a shorter time horizon. Following steps are involved in measurement of earnings based IRRBB:

a) Interest rate sensitive banking book positions are allocated to one of the three categories i.e. amenable to standardisation, less amenable to standardization and not amenable to standardisation.

b) Determination of slotting of notional re-pricing cash flows based on the above categorization of banking book positions;

c) All notional re-pricing cash flows are slotted into respective time buckets. Within a given time bucket, all notional re-pricing cash flows are netted to form a single long or short position. The process is followed for all time buckets;

d) Delta NII for each stress scenario and currency is computed as product of long or short position (as calculated in step c) by the assumed change in interest rate.

Following points are factored in IRRBB measurements:

a) Banking book positions without a fixed maturity are replicated with different maturity profiles. The re-fixing of interest rate is performed according to the respective maturity profile

b) Early withdrawal risk on Term Deposits and Prepayment Risk on Fixed Rate Loans the banking book are not material and

c) Interest rate swaps are used to manage the interest rate risk in the banking book.

17.1 Repricing maturity assigned to non-maturity deposits (NMDs) (IRRBBA1)

	31-Dec-24	31-Dec-23
Average and Longest maturity assigned in years		
Weighted average maturity	**1.63**	1.30
Longest maturity	**8.50**	6.50

17.2 Quantitative information on IRRBB (IRRBB1)

31 December 2024		**AED '000**
	Δ EVE	**Δ NII**
Parallel up	**1,664,456**	**(1,070,220)**
Parallel down	**(2,069,447)**	**1,258,214**
Steepener	**(34,633)**	**-**
Flattener	**318,638**	**-**
Short rate up	**1,070,214**	**-**
Short rate down	**(1,102,014)**	**-**
Maximum	**1,664,456**	**-**
		-
Period	**31-Dec-24**	**-**
Tier 1 capital	**62,781,814**	-

31 December 2023		AED '000
	Δ EVE	Δ NII
Parallel up	1,712,057	(1,530,623)
Parallel down	(2,312,241)	1,960,359
Steepener	329,188	-
Flattener	(349,367)	-
Short rate up	850,116	-
Short rate down	(9,872)	-
Maximum	1,712,057	-
Period	31-Dec-23	-
Tier 1 capital	59,357,172	-

Note: Positive numbers indicate loss

18. Prudential valuation adjustments (PVAs)

The provisions on prudential valuation require banks to quantify several valuation uncertainties pertaining to the mark-to-market or mark-to-model valuation of derivative assets and liabilities recorded at fair value for accounting purposes. Valuation provisions result from market prices, close-out costs, model risk, unearned credit spreads, investing and funding costs, concentrated positions, future administrative costs, early terminations and operational risks.

31 December 2024 **AED '000**

	Equity	Interest rates	FX	Credit	Commodities	Total	Of which: In the trading book	Of which: In the banking book
Closeout uncertainty, of which:								
Mid-market value	-	-	-	-	-	-	-	-
Closeout cost	-	13,025	8,515	285	-	21,825	21,540	285
Concentration	-	-	-	-	-	-	-	-
Early termination	-	-	-	-	-	-	-	-
Model risk	-	-	-	5,000	-	5,000	5,000	-
Operational risk	-	-	-	-	-	-	-	-
Investing and funding costs	-	3,896	-	58,981	-	62,877	62,877	-
Unearned credit spreads	-	-	-	-	-	-	-	-
Future administrative costs	-	-	-	-	-	-	-	-
Other	-	66,557	-	80,775	-	147,332	147,332	-
Total adjustment	-	83,478	8,515	145,041	-	237,034	236,749	285

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	Equity	Interest rates	FX	Credit	Commodities	Total	Of which: In the trading book	Of which: In the banking book
Closeout uncertainty, of which:								
Mid-market value	-	-	-	-	-	-	-	-
Closeout cost	-	12,133	1,956	2,936	-	17,025	14,089	2,936
Concentration	-	-	-	-	-	-	-	-
Early termination	-	-	-	-	-	-	-	-
Model risk	-	-	751	-	-	751	751	-
Operational risk	-	-	-	-	-	-	-	-
Investing and funding costs	-	3,580	-	80,560	-	84,140	84,140	-
Unearned credit spreads	-	-	-	-	-	-	-	-
Future administrative costs	-	-	-	-	-	-	-	-
Other	-	84,999	-	303,180	-	388,179	388,179	-
Total adjustment	-	100,712	2,707	386,676	-	490,095	487,159	2,936

19. Operational risk

Overview

Operational risk is the risk of loss arising from inadequate or failed internal processes, people, and systems or from external events. While including legal risk, but excluding strategic and reputational risk, damage to the Bank's reputation, legal or regulatory implications, financial losses and other factors are being considered when assessing impact of operational risk events.

Operational risk is inherent in all dimensions of the Bank, including all banking products, activities, processes, systems and third parties or outsourcing arrangements. Therefore, the effective management of operational risk is a fundamental element of the Bank's risk management program.

The Board (via the BRC) is accountable for the effective management of operational risk. This includes defining the risk appetite for operational risk, approval of the Operational Risk Management Framework (ORMF), oversight of senior management to ensure that strategies, policies, and processes are reviewed and implemented effectively at all levels.

The objective of the Group is to manage and control operational risk in a proactive and cost-effective manner within targeted levels of operational risk consistent with a defined risk appetite. Group primarily aims at early identification and assessment of operational risks allowing timely mitigation, as well as meaningful management reporting and continuous improvement of the control environment.

The strategy, approach, and design of the Group's ORMF is owned by the Group Operational Risk Management (GORM). In addition, this is overseen by a dedicated Operational Risk Working Group (ORWG) and MEC as applicable. The implementation of the ORMF is assigned to a decentralised community of Risk and Control Champions (RCCs) who execute this role either as a dedicated full-time responsibility or dual role in line with the inherent materiality of the exposure and complexity of operations of their specific organisational units.

The GORM function continues to lead the effort to enforce adoption of the ORMF for consistent management approaches. The aim is to inculcate operational resilience through executing with a 'safe hands' mind-set and promote transparent dialogue on areas of improvement across the Group. Practically, the focus is on the consistency in the use of the Operational Risk Management System (ORMS) and application of the core tools such as Risk and Control Self-Assessment (RCSAs), Key Risk Indicators (KRIs), timely operational risk event reporting, and effective implementation of action plans identified to mitigate known issues. The functionality of the first phase of the new ORMS has been fully adopted.

The ORMF enables a comprehensive and effective approach to managing inherent operational risk exposures, facilitating focus on the risks and associated controls that are critical to achieving the Group's strategic objectives and expected operational resilience outcomes. It provides a platform to drive forward-looking risk awareness and assist management focus.

Three lines of defence

To create a robust control environment to manage risks, the Group uses an activity-based three lines of defence model. This model delineates management accountabilities and responsibilities for risk management and the control environment. The model underpins the Group's approach to risk management by clarifying responsibility, encouraging collaboration, and enabling efficient coordination of risk and control activities.

The three lines of defence are summarised below:

- First line of defence (Organisational Units): owns the risks and is responsible for identifying, recording, reporting, and managing them, and ensuring that appropriate controls and assessments are in place to mitigate them.
- The second line of defence (Group Operational Risk Management, Group Compliance, Fraud Risk Management, Information and Physical Security Governance, Data Management, Treasury Liquidity & Market Risk, Islamic Internal

control, Credit Policy, etc.): define their specific frameworks, policies and guidelines for managing specific risk areas, provide advice and guidance in relation to the risk, and challenges the first line of defence on effective risk management.

- The third line of defence (Group Internal Audit function): provides independent assurance of the adequacy of the design and operational effectiveness of the ORMF.

Risk identification, monitoring, and reporting

The risk identification and assessment process involves assessment of operational risks inherent in the group's licensed activities. Risk assessment methodology employs a structured Risk Assessment Framework (RAF) which comprises a series of risk and control libraries, linked taxonomies, which enable consistent understanding of risks and related controls and ongoing review.

The identification and early reporting of issues and operational risk events is a critical component and ensures transparency of the Group's operational risk management process. The escalation process ensures that relevant information is received by the impacted areas of the group and decision makers in a timely manner so that appropriate actions are taken.

Monitoring and reporting processes are in place for periodic monitoring of key operational risks. The reports are submitted to the BRC and Board (as part of Group Chief Risk Officer update) and to Group Heads for information and resolution.

Fraud risk

Proactive fraud-risk management is a key success factor in combating the increasing number of frauds perpetrated against financial institutions around the globe. The Group continued to strengthen its anti-fraud activities by centralizing its fraud management capabilities, increased fraud awareness to the employees, vendors/suppliers, temporary staff/sales agents and customers, as well as initiating various projects to drive fraud prevention through use of technology and systems (e.g. Emirates Facial ID recognition). The projects are at various levels of maturity.

Business continuity management

The safety of employees and the ability to recover from a crisis in a timely fashion are of utmost importance to the Group. To appropriately handle crisis situations, emergency response procedures and business continuity plans (BCPs) were significantly enhanced.

ADCB's ISO22301:2012 certified business continuity framework for the UAE has been designed to ensure that the Bank can continue to achieve its business objectives in the face of an unexpected disruptive event. The plans identify the teams, and list critical processes and systems, evacuation procedures and the respective recovery sites where the teams will report to in the event of a disaster. Emergency response procedures contain evacuation guidelines, response measures, and roles and responsibilities in dealing with various threats. The plans are tested periodically and involve mobilising staff from a primary site to a recovery site and enabling them to carry out critical activities.

Risk management

For operational risk measurement and determination of the amount that the Group needs to hold to absorb potential operational losses, Group follows the standardised approach under Basel III. As at December 31, 2024, the capital charge including buffer requirements was AED 4,257,901 thousand (December 31, 2023 – AED 3,026,340 thousand).

20. Remuneration

ADCB supports remuneration levels necessary to attract, retain and motivate employees capable of leading, managing and delivering high quality services in a competitive environment. Our performance-linked approach is designed to minimise turnover of top talent and to inspire employees to perform at the highest levels, consistent with effective risk management.

ADCB's remuneration structure is conservative, with practices and policies that promote effective risk management. To that end, ADCB structures remuneration packages so that they reflect roles, responsibilities and accountabilities and are fair and equitable. Packages incorporate clear and measurable rewards linked to the organisation, department and individual performance as applicable. Furthermore, rewards are based only on the results of a rigorous performance management system with a robust management review, decision-making and approval process.

Total reward – key components

ADCB employees are eligible to receive three types of rewards viz; fixed pay and benefits, variable pay and retention plan. ADCB's remuneration programme balances short and long-term incentives to align the interests of ADCB, its shareholders and employees.

Bank-wide variable pay framework

The variable pay framework has been designed to align employees' interests with the long-term interests of the Bank and its shareholders, as well as to incentivise higher performance, while avoiding excessive risk-taking.

Variable pay is also tailored to each function within the Bank to ensure competitiveness of the reward structure and alignment with the market.

ADCB uses a balanced score-card approach to measure employee performance, including the following KPI categories:

- Financial performance
- Non-financial performance, including service excellence and people (Organisational Health Index and Emiratisation scores are included as key KPIs)
- Compliance, audit and risk

Supervision of the NCHRG Committee

The Board Nomination, Compensation, HR and Governance (NCHRG) Committee oversees the design, operation and effectiveness of the framework and allocation of awards, including overall amounts, distribution among business lines and awards to executive management. Also, the NCHRG Committee ensures regular review and assessments are conducted by an independent third-party consultant on the quantum, design and effectiveness of ADCB's variable pay framework and awards. Last review was done in the second quarter of 2022 by Mercer.

20.1 Remuneration awarded during the financial year (REM 1)

AED '000

		Remuneration			
		31-Dec-2024		31-Dec-2023	
		Executive management[1]	Other material risk-takers	Executive management[4]	Other material risk-takers[4]
Fixed Remuneration	*Number of employees* [1]	**13**[1]	**20**[2]	**12**	**44**
	Total fixed remuneration (A)	**40,293**	**34,734**	38,953	58,567
	Of which: cash-based [*Salary, including Basic Pay, General Allowance and Social Allowance (for UAE Nationals)*]	33,908	27,915	32,333	49,344
	Of which: deferred	-	-	-	-
	Of which: other forms *[Benefits, including Leave airfare, Education Allowance, Club Membership Allowance, Leave Encashment and Premium for the Life and Medical Insurance, Gratuity provision and Pension contribution (for UAE Nationals)*]	6,385	6,819	6,620	9,223
Variable Remuneration	*Number of employees*	**13**[1]	**20**[1]	**12**	**44**
	Total variable remuneration (B)[3]	**41,599**	**23,807**	56,431	49,939
	Of which: cash-based	**26,007**	**14,062**	26,498	26,004
	Of which: deferred	**15,592**	**8,308**	22,268	15,208
	Of which: shares or other share-linked instruments	10,796	3,468	11,134	6,656
	Of which: cash	4,796	4,841	11,134	8,552
	Of which: other forms [*one-time other long term benefits related to Retired employees*]	**-**	1,436	7,665	8,726
Total Remuneration (A+B)		**81,892**	**58,541**	95,385	108,506

1- This includes, Group Chief Executive Officer, Group Chief Corporate, Wealth and Investment Banking Officer, Group Chief Retail Banking Officer, Group Treasurer, Group Chief Compliance Officer, Group Chief Credit Officer, Group Chief Financial Officer, Group Chief Operating Officer, Group Chief Risk Officer, Group Chief Internal Auditor, Group General Counsel, Group Chief Human Resources Officer and Group Chief Business Officer

2 - This includes 19 currently active employees and 1employee who left the ADCB Group during 2024.

3 - This includes variable remuneration awarded during 2024 and excludes variable remuneration awarded during previous years that vested during 2024.

4 - 2024 disclosure include ADCE UAE only and 2023 have also been updated accordingly. Disclosures exlcude Al Hilal Bank.

20.2 Special payments (REM2)

31 December 2024 AED '000

	Guaranteed Bonuses		Sign on Awards		Severence Payments		Retention award	
	Number of employees	Total amount	Number of employees	Total amount	Number of employees	Total amount	Number of employees	Total amount
Executive management	-	-	2	1,703	-	-	11	25,609
Other material risk takers	-	-	-	-	-	-	13	5,725
	-	-	2	1,703	-	-	24	31,334

1 - AED 20.6mn awarded as deferred shares and AED 5mn awarded as cash.
2 - All awarded as deferred shares.

31 December 2023 AED '000

	Guaranteed Bonuses		Sign on Awards		Severence Payments		Retention award	
	Number of employees	Total amount	Number of employees	Total amount	Number of employees	Total amount	Number of employees	Total amount
Executive management	-	-	1	703	-	-	7	6,904
Other material risk takers	-	-	3	1,108	-	-	-	-
	-	-	4	1,811	-	-	7	6,904

20.3 Deferred remuneration (REM 3)

31 December 2024 **AED'000**

Deferred and retained remuneration		Total amount of outstanding deferred remuneration	Of which: Total amount of outstanding deferred and retained remuneration exposed to ex post explicit and/or implicit adjustment	Total amount of amendment during the year due to ex post explicit adjustments	Total amount of amendment during the year due to ex post implicit adjustments	Total amount of deferred remuneration paid out in the financial year
		This includes deferred remuneration from previous years that vests in 2025 onwards				**Includes deferred remuneration from previous years that vested during 2024**
Executive management/Other material risk takers						
Cash	Executive management	**6,430**	**6,430**	**-**	**-**	**10,498**
	Other material risk takers	**4,637**	**4,637**			**4,313**
Shares	Executive management	**32,965**	**32,965**	**-**	**-**	**9,038**
	Other material risk takers	**9,122**	**9,122**			**3,018**
Cash-linked instruments	Executive management	**-**	**-**	**-**	**-**	**-**
	Other material risk takers					
Other	Executive management	**-**	**-**	**-**	**-**	**-**
	Other material risk takers					
Total	**Executive management**	**39,395**	**39,395**			**19,536**
	Other material risk takers	**13,760**	**13,760**	**-**	**-**	**7,331**

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Deferred and retained remuneration		Total amount of outstanding deferred remuneration	Of which: Total amount of outstanding deferred and retained remuneration exposed to ex post explicit and/or implicit adjustment	Total amount of amendment during the year due to ex post explicit adjustments	Total amount of amendment during the year due to ex post implicit adjustments	Total amount of deferred remuneration paid out in the financial year
		This includes deferred remuneration from previous years that vests in 2024 onwards				Includes deferred remuneration from previous years that vested during 2023
Executive management/Other material risk takers						
Cash	Executive management	11,342	11,342	-	-	10,885
	Other material risk takers	7,626	7,626			6,646
Shares	Executive management	11,342	11,342	-	-	9,905
	Other material risk takers	6,310	6,310			5,288
Cash-linked instruments	Executive management	-	-	-	-	-
	Other material risk takers					
Other	Executive management	-	-	-	-	-
	Other material risk takers					
Total	Executive management	22,684	22,684			20,790
	Other material risk takers	13,936	13,936	-	-	11,934